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ANCHOR REPORT

Global Markets Research

24 June 2026

Global Batteries – ESS, robot batteries to drive value

Battery industry entering a new, diverging phase

We expect global energy storage system (ESS) batteries to show attractive demand growth of 17% p.a. over 2026-30F to 926GWh in 2030F, with the US representing ~20% of demand driven by AI datacenter power demand, renewables integration, and grid modernization. In contrast, global electric vehicle (EV) battery demand growth should be slower at 11% p.a. over 2026-30F to 1.8TWh in 2030F. In this context, the industry's competitive landscape is becoming increasingly segmented. China is the clear volume leader, with 2026F global share at 78%/80% for EV/ESS batteries, despite tighter US/Europe regulations. Its dominance is underpinned by leadership in LFP batteries, which account for 61% of the global battery market, and a highly integrated supply chain. South Korea is repositioning toward higher-value EV and US ESS segments, where US/EU localization requirements create meaningful barriers to entry. Japan is focusing specifically on AIDC demand rather than mass-market batteries.

Key themes in this Anchor Report:

- **Global EV/ESS battery market outlook:** Comparing the strategic positioning of Chinese, Korean and Japanese battery players
- **Global xEV outlook:** Cutting US EV and China PHEV volume forecasts
- **Global lithium supply-demand:** Market to remain tightly balanced in 2026-27F
- **CATL** and **Samsung SDI** are our preferred Buy rated stock picks

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

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Global Batteries

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EQUITY: ALTERNATIVE ENERGY

ESS, robot batteries to drive value

China dominates global market share; Korea eyes US ESS/ premium EV space; Japan targets AIDC server batteries

The global battery landscape has become highly segmented such that China, South Korea, and Japan now seek to adopt varying growth strategies, in our view. China has become a clear volume leader in electric vehicle (EV) / energy storage system (ESS) batteries, with 2026F global market share of 78%/80% – despite regulatory restrictions being imposed by the US/Europe – due to its dominant LFP (61% global battery share) / integrated supply chain. South Korea is repositioning its market toward the higher-value EV and US ESS segments where localization requirements act as barriers to entry. Japan, rather than competing within mass-market batteries, has turned it focus on AI datacenter infrastructure demand, with a revenue target of JPY1.0tn for FY29E from AIDC battery backup units (BBU; installed inside AIDC server racks to provide instant back-up power) and a 20% ROIC target for the overall battery business.

EV battery – China dominant in scale, cost leadership; Korea eyes premium area

We project global EV battery demand to grow by 9.5% p.a. over 2026-35F, reaching 1.8TWh/2.7TWh in 2030F/35F (2025: 1.0TWh). Our projections are premised on Nomura auto team's global EV/PHEV shipment growth forecasts of 6%/12%/11% (y-y) to 21.1mn/23.7mn/26.3mn units in 2026F/27F/28F and penetration rate forecasts of 23%/32%/40% in 2026F/30F/35F. We expect China to command 65%/78% share in global EV/battery markets in 2026F. Outside of China, China's battery market share currently stands at 58%, driven by superior cost leadership (LFP [lithium iron phosphate] chemistry), unrivalled scale, and supply-chain integration. Korean batteries (15% of global market share) remain competitive, in our view, in premium applications such as high-nickel chemistries (long range cars), cylindrical 4680 cells (Tesla), silicon-anode technologies, and US/EU localization strategies.

ESS battery – China leads global market share, Korea/Japan gain share in the US

We build in global ESS battery (BESS) demand growth of 17%/11% p.a. over 2026-30F/ 2026-35F to 1.3TWh in 2035F (2026F: 490GWh; 50% of 2030F EV batteries; US BESS demand of 113GWh/194GWh for 2026F/2030F; 14% p.a. growth over 2026-30F), driven by renewables integration, grid modernization, and AI datacenter power demand. We expect global BESS demand to be fueled by grid applications (70-80% of demand; renewables integration), and AIDC demand. China should remain dominant, in our view, through its leadership in LFP and increasingly through sodium batteries (NiB), with the latter potentially representing 15-20% of 2030F ESS demand. CATL (300750 CH, Buy), BYD (002594 CH, Buy), Hithium (unlisted), EVE (300014 CH, Buy) are leading players. We observe increasing penetration of Korean batteries into North America (mostly into the US), where tariff barriers, localization requirements, and AIDC investments are creating opportunities for non-Chinese suppliers. Japan's leading battery maker Panasonic (6752 JP, Neutral) specifically focuses on AIDC BESS for server rack (high precision battery bundled with system) where it commands 60-70% global market share, on our estimate

Robot batteries are likely to emerge as a high-value specialty market

Humanoid robot commercialization is likely to accelerate over the next few years. Despite representing only a small portion of EV/ESS battery volume, the revenue opportunity for robot batteries may be larger than the GWh implication, supported by premium pricing (3x EV battery price per kWh; we estimate USD2-4bn market size in 2030F), customization, and high performance specification. Unlike EV batteries, robot batteries require high power density, high C-rate capability (a measure of how fast a battery can be charged), lightweight design, and advanced thermal control. Early-generation humanoids may favor high-nickel chemistries until ~2030F, in our view, but improving LFP performance and battery-swapping architectures could allow China to gain visible share in robot applications over time.

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Battery technology – China drives LFP, sodium and semi-solid state batteries; Korea and Japan focus on high nickel, and all solid-state batteries

LFP has become the industry's volume chemistry across EV/ESS applications, benefiting from superior cost, safety, and cycle life characteristics. Meanwhile, high-nickel NCM/NCA (nickel, cobalt, manganese/nickel, cobalt, aluminum) batteries are increasingly positioned as premium solutions for high-performance EVs, fast charging, and specialty applications. We expect sodium-ion batteries (SiBs) to become competitive as ESS energy density improves and costs decline. Given China's control over the sodium-ion supply chain and the rapid technological advancement, we expect China to dominate the SiB market in the coming years. Semi-solid state may be commercialized by China in the next two years, in our view, but all solid state batteries (ASSB) for EVs are likely to be delayed to beyond 2028F due to technical and cost issues. ASSB for robot batteries may be possible.

Battery metal outlook – tighter supply, moderate price recovery

Across lithium, nickel and cobalt, the market is transitioning from oversupply concerns toward a more balanced environment, in our view. Demand from ESS, AI datacenter infrastructure, as well as policy directions from key producing markets and timing of mine starts are becoming important pricing drivers. For lithium, we expect a moderate price recovery in 2026/27F to USD22.0k/24.6k per tonne (lithium carbonate; 2025 USD9.7k/tonne) with supplies facing delays from major projects (e.g., CATL's Jianxiawo mine), Zimbabwe export restrictions, and lower production guidance from Greenbushes – albeit being offset by Australian mine restarts. On the other hand, nickel and cobalt pricing will likely have some support owing to tighter supply controls in Indonesia and the DRC (Republic of Congo).

Stock picks – CATL, Samsung SDI, L&F are top Buys; Neutral on Panasonic, SKI

CATL and Samsung SDI are our preferred stocks, with CATL leading globally across EV and ESS applications via scale and profitability, and emerging sodium-ion batteries, while SDI should deliver an earnings turnaround from 2H26F on ESS AIDC BBU batteries. EVE Energy appears well positioned to gain share in the global ESS and 4680 markets; L&F's cathode business supplying to a steady selling EV OEM as well as its chemistry diversification to LFP should support the positive outlook.

We have Neutral ratings on Panasonic (as we think the risk/reward profile is fairly priced) and SK Innovation (due to its weakened battery business, and a potential decline in the refining/chemical business amid signs of a de-escalation in the Iran-US conflict).

Risks

Downside risks include: 1) weaker-than-expected EV demand outside China, particularly in the US and Europe, due to subsidy reductions, regulatory rollbacks, macroeconomic uncertainty, and slower charging infrastructure deployment; 2) policy and trade uncertainties, including changes to US government incentives, rising tariffs on Chinese battery materials and products, technology-transfer restrictions, and geopolitical tensions that disrupt global supply chains; 3) unexpected battery safety incidents involving EV, ESS resulting in recalls, project delays, stricter regulations, and higher warranty costs; 4) a sharp rebound in lithium, nickel, cobalt, graphite, copper, or rare-earth prices, increasing battery production costs and slowing battery cost reductions. Upside risks to our industry view include: 1) faster-than-expected EV demand recovery, driven by lower battery costs, a broader range of affordable EV/PHEV models, and improving charging infrastructure; 2) stronger-than-expected ESS demand growth; 2) faster commercialization of next-generation technologies, including dry-electrode manufacturing, high-nickel batteries, 4680 cells, sodium-ion batteries, and semi-solid-state batteries.

Fig. 1: Stocks for action – global battery sector

Company	Currency	Ticker	Rating	Mkt cap (USDmn)	Turnover (USDmn)	Target Price (local)	Price (local) 22/Jun/26	Upside (%)
Contemporary Amperex Technology	CNY	300750 CH	Buy	266,005	2,041	612.00	408.98	49.6%
LG Energy Solution	KRW	373220 KS	Buy	58,656	194	600,000	385,500	55.6%
Samsung SDI	KRW	006400 KS	Buy	27,929	571	900,000	533,000	68.9%
EVE Energy	CNY	300014 CH	Buy	22,303	678	100.00	70.23	42.4%
LG Chem	KRW	051910 KS	Buy	14,826	118	440,000	323,000	36.2%
Wuxi Lead	CNY	300450 CH	Buy	10,942	478	73.00	47.35	54.2%
EcoproBM	KRW	247540 KS	Buy	10,604	181	280,000	166,700	68.0%
L&F	KRW	066970 KS	Buy	3,316	128	200,000	125,700	59.1%
Panasonic Holdings	JPY	6752 JP	Neutral	66,692	198	3,600	4,393	-18.1%
Ganfeng Lithium	HKD	1772 HK	Neutral	14,729	118	31.00	57.25	-45.9%
POSCO Future M	KRW	003670 KS	Neutral	11,105	110	200,000	192,000	4.2%
SK Innovation	KRW	096770 KS	Neutral	11,014	91	118,000	100,200	17.8%
Yunnan Energy	CNY	002812 CH	Neutral	10,292	339	32.00	72.05	-55.6%
Putailai	CNY	603659 CH	Neutral	9,744	232	17.00	30.90	-45.0%
Gotion High-Tech	CNY	002074 CH	Neutral	8,168	243	22.50	30.72	-26.8%
Tianqi Lithium	HKD	9696 HK	Neutral	1,348	46	41.00	44.76	-8.4%

Note: Pricing as of 22 June 2026
Source: Bloomberg Finance L.P., Nomura estimates

Global EV/battery – China likely to account for 65%/78% market share in 2026F

Nomura's auto team forecasts global EV/PHEV shipments will grow by 6%/12%/11% (y-y) to 21.1mn/23.7mn/26.3mn units in 2026F/27F/28F. Based on these forecasts, we project EV battery demand to grow by 9.5% p.a. over 2026-35F, reaching 2.7TWh in 2035F. We project that EV/PHEV sales will slow down to 8.3% p.a. over 2026-35F, from 52% p.a. over 2020-24.

China remains the largest EV market representing 65% of global shipments, but we expect the growth rate to slow down to 6.2% p.a. over 2026-35F as EV/PHEV penetration exceeds 50%. The regulatory landscape in Europe (which accounts for a 19.5% share of global shipments) now makes it the most policy-driven EV market globally due to tightening CO_2 regulations and in order to protect its domestic auto industry from the increasing market share of China (15% share of the EU EV market). While North America – namely, the US – is likely to see a decline in EV/PHEV shipments in 2026F, the country's EV/battery shipments might see upside risks post 2029 in a scenario of a change in government/administration and resumption of EV adoption.

Fig. 2: Global xEV forecasts by region

xEV forecasts (k units)	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F
Global auto shipment	88,147	89,616	91,904	91,031	93,091	95,031	97,005	98,949	100,701	102,506	104,366	106,281	108,255
EV/PHEV shipment	12,950	16,717	19,925	21,147	23,667	26,251	28,525	31,192	34,021	36,309	38,619	40,876	43,306
Global EV/PHEV penetration (%)	*14.7%*	*18.7%*	*21.7%*	*23.2%*	*25.4%*	*27.6%*	*29.4%*	*31.5%*	*33.8%*	*35.4%*	*37.0%*	*38.5%*	*40.0%*
New energy vehicle shipment	21,775	27,074	31,425	34,922	39,562	44,566	49,741	55,153	61,039	65,124	69,686	72,595	75,734
EV/PHEV shipment	12,950	16,717	19,925	21,147	23,667	26,251	28,525	31,192	34,021	36,309	38,619	40,876	43,306
US	1,483	1,588	1,631	1,616	1,775	1,981	2,265	2,614	2,990	3,365	3,702	3,975	4,271
EU	3,010	2,945	3,858	4,122	4,520	4,983	5,587	6,480	7,147	7,762	8,133	8,749	9,429
Japan	138	99	104	156	225	284	359	454	556	681	806	955	1,133
China	7,715	11,360	13,438	13,756	15,442	17,091	18,217	19,168	20,029	20,917	21,774	22,658	23,569
Korea	169	152	232	264	313	338	354	369	384	398	412	427	442
Others	436	572	663	1,233	1,393	1,574	1,743	2,106	2,916	3,186	3,792	4,112	4,463
HV shipment	8,810	10,346	11,484	13,757	15,876	18,295	21,191	23,928	26,980	28,769	31,015	31,657	32,354
US	1,800	2,200	2,799	3,219	3,863	5,021	6,528	7,703	8,550	9,491	10,155	10,663	11,196
EU	3,401	4,068	4,567	5,336	5,937	6,115	6,237	6,300	5,985	5,686	5,401	4,861	4,375
Japan	1,865	2,035	1,992	2,091	2,259	2,371	2,490	2,590	2,667	2,721	2,693	2,640	2,508
China	902	992	947	1,136	1,534	2,147	2,899	3,914	4,892	5,626	6,188	6,683	7,218
Korea	375	494	579	699	799	896	979	1,053	1,093	1,114	1,124	1,129	1,132
Others	467	556	600	1,276	1,486	1,744	2,057	2,369	3,793	4,133	5,452	5,681	5,925
FCV shipment	15	11	16	18	18	20	25	33	38	45	53	62	75
US	3	1	0	0	1	1	1	2	3	4	6	9	14
EU	1	1	1	1	1	1	1	2	2	3	4	5	6
Japan	0	1	0	1	0	0	1	1	1	2	3	3	4
China	6	5	8	8	8	9	13	20	22	25	28	31	35
Korea	5	4	7	7	7	7	7	7	7	7	7	7	7
Others	1	0	1	1	1	1	2	3	4	4	6	7	8

Source: Autodata, Fourin, JAMA, Marklines, Nomura estimates

Fig. 3: EV/PHEV battery supply and demand forecasts

EV/PHEV battery supply and demand (GWh)	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F
US	102	109	112	108	112	119	127	138	149	169	190	210	231
EU	170	168	217	235	263	294	335	397	442	484	508	554	606
Japan	8	6	6	9	14	18	22	28	35	43	51	61	72
China	355	502	680	757	879	986	1,067	1,141	1,216	1,293	1,365	1,439	1,517
Korea	13	12	18	21	25	27	28	30	31	32	33	34	35
Others	22	27	32	64	72	81	90	103	153	168	202	220	240
World demand	670	823	1,066	1,194	1,365	1,524	1,669	1,838	2,027	2,190	2,348	2,519	2,701
World capacity	1,734	2,172	2,558	2,866	3,174	3,383	3,673	3,945	4,109	4,270	4,418	4,582	4,776
1yr adjusted utilization	*53%*	*47%*	*49%*	*47%*	*48%*	*48%*	*49%*	*50%*	*51%*	*53%*	*55%*	*57%*	*59%*

Source: Autodata, Fourin, JAMA, Marklines, Nomura estimates

Leading Chinese battery suppliers have achieved high utilization rates as of end-2025, especially in ESS cell production capacity, as a result of solid demand and concentrated facility upgrade from 314Ah to higher cell size (e.g. 587/628Ah). CATL has indicated capacity under construction of 321GWh as of end-2025. EVE has also announced newly planned capacity of 230GWh for 2026-28F. On the other hand, we believe the utilization rate for EV batteries remains sub-optimal in 1H26F, owing to muted domestic EV demand. According to our industry checks, new battery capacity expansion projects in China are likely to be subject to stricter control by the central government in 2H26F, especially for small players with low utilization rates. We expect government control over battery capacity expansion to benefit industry supply-demand dynamics in the long term, and the announced projects with approval in 1H26 will not be impacted.

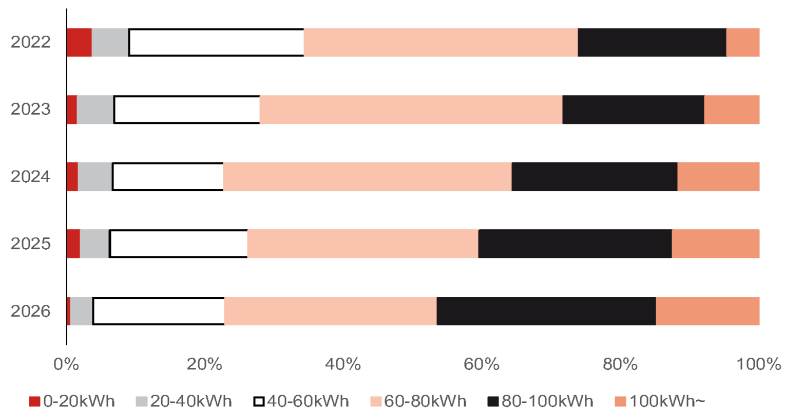
Fig. 4: Global EV battery capacity forecasts

EV battery capacity (GWh)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Korea	**435**	**483**	**469**	**474**	**537**	**580**	**684**	**746**	**799**	**856**	**898**	**954**	**1,045**
LG Energy Solution	280	280	270	240	263	295	304	312	321	331	341	352	396
Samsung SDI	67	92	88	88	93	104	130	159	175	192	217	252	277
SK Innovation	88	111	111	146	181	181	250	275	303	333	340	350	371
China	**1,175**	**1,492**	**1,833**	**2,095**	**2,301**	**2,417**	**2,566**	**2,728**	**2,818**	**2,896**	**2,978**	**3,064**	**3,146**
CATL	456	545	702	740	812	828	894	975	986	1,010	1,035	1,061	1,088
BYD	250	349	344	431	444	459	473	487	502	516	530	544	559
REPT	25	30	36	48	60	68	76	84	88	92	96	100	104
Zenergy	24	26	36	51	56	61	66	71	76	81	86	91	96
CALB	90	115	140	165	180	195	210	225	230	235	240	245	250
EVE	62	64	91	108	140	160	173	185	191	197	203	210	216
Gotion high-tech	77	96	105	128	146	153	168	182	188	191	195	200	200
Farasis	39	50	62	68	75	83	91	100	110	121	133	146	161
Lishen	35	35	40	48	56	58	58	58	60	62	63	65	65
Wanxiang	27	27	50	60	70	80	80	80	90	90	90	90	90
Sunwoda	60	80	100	110	115	120	125	130	140	145	150	155	160
SVOLT	31	77	77	87	97	102	102	102	102	102	102	102	102
China OEM	-	-	50	50	50	50	50	50	55	55	55	55	55
Japan	**108**	**163**	**211**	**241**	**269**	**307**	**325**	**350**	**362**	**377**	**392**	**403**	**416**
Panasonic	50	53	61	70	73	81	89	101	104	106	108	110	112
PPES	10	12	19	30	45	65	75	80	80	85	88	88	88
Envision AESC	48	98	131	141	151	161	161	169	178	186	196	205	216
Lyten (Northvolt)	16	16	16	16	21	31	41	51	61	71	75	80	83
Others													
Tesla	16	34	45	56	68	79	99	120	131	140	149	161	170
World capacity	**1,734**	**2,172**	**2,558**	**2,866**	**3,174**	**3,383**	**3,673**	**3,945**	**4,109**	**4,270**	**4,418**	**4,582**	**4,776**

Note: 1) Company guidance for not rated stocks
Source: Company data, Nomura estimates

We estimate global EV battery demand to rise to 2.7TWh in 2035F, implying 9.5% p.a growth over 2026-35F – potentially outpacing EV/PHEV shipment growth, which we expect to record 8.3% p.a. during the same period. We attribute this to battery pack size increase as SUVs, electric trucks and pick-up trucks become increasingly popular, with battery pack size ranging from 80kWh to 120kWh. Therefore, the share of EVs equipped with batteries larger than 80kWh will likely rise from 26% in 2022 to 46% in 2026F, while the share of vehicles with batteries above 100kWh should rise from 5% to nearly 15%.

Fig. 5: Global EV market share by segment



Source: SNE Research, Nomura research

Battery market share by country

Since 2024, China's global battery market share has remained above 70%, driven particularly by overseas expansion. Despite stricter regulations being imposed by the US and European governments on on-shore supply-chain operations, China battery makers have continued to gain share through localized production expansion. By contrast, Korea's battery market share has declined in Europe and North America.

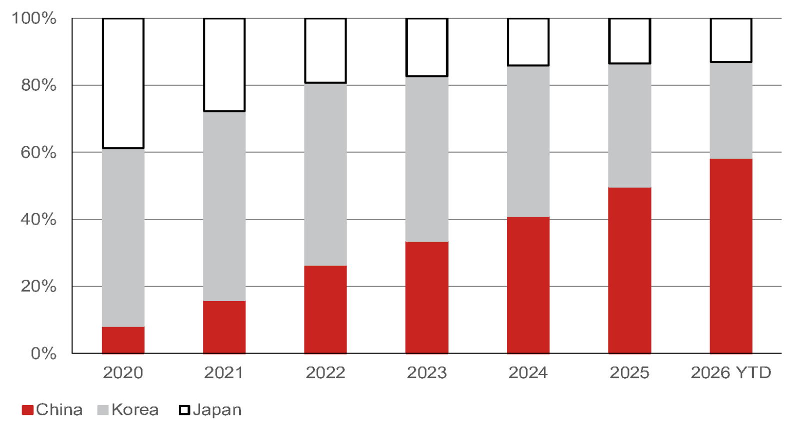
Within EVs, Chinese EVs (excluding PHEVs) represented 65% of global EV sales in 2025, but the county's battery market share was higher at 78%. Although US-China tensions and increasing protectionism may limit Chinese companies' penetration into North America and Europe, Chinese firms continue strengthening their global presence through local manufacturing expansion and superior cost competitiveness.

China battery industry shipments

According to CABIA, China's battery shipments recorded 48.5% y-y growth to 783GWh in 5M26, including 35% y-y growth in EV battery shipments to 528GWh (67% of total) and 88% y-y growth in ESS battery shipments to 255GWh (33% of total). On the other hand, domestic EV battery installation growth was muted at 7% y-y to 259GWh, including LFP battery installation of 208GWh, representing an 80% market share. Despite weakness in China's domestic passenger EV sales, we see the following growth drivers for China's battery sales:

- Robust EV and battery exports: China's EV export volumes expanded 1.1x y-y to 1.83mn units in 5M26 (source: CAAM) and China's EV battery exports increased 48% y-y to 97GWh in 5M26 (source: CABIA). The potential for a trade conflict between China and the EU represents a key downside risk in our view, while we expect China battery makers to ramp up localized production in the EU (e.g. CATL's Hungary plant).
- Increased battery size per vehicle: In May 2026, average battery sizes for China's BEV and PHEV shipments increased 18.5% and 41% y-y to 63kWh and 41.3kWh per vehicle, respectively (source: CABIA), which we attribute to: (1) supportive policies (i.e. PHEVs need to achieve 100km pure-electric driving range to eligible for purchase tax benefits); and (2) proactive function upgrades by Chinese EV OEMs.
- Strong commercial EV sales: According to CV World, China's new-energy heavy-duty truck sales grew 68% y-y to 102.6k units in 5M26, achieving a penetration rate of 31%. Battery installations in electric trucks contributed 22% of total installations in 5M25 (source: CABIA), which should benefit the leading battery suppliers such as CATL and EVE.

Fig. 6: Global EV battery share by country (excluding China)



Source: Nomura research based on SNE Research; YTD as of Jan-Feb

European EV sales up 26% y-y in Jan-May 2026

Global Jan-May 2026 EV shipments were marginally up, by 0.9% y-y. By region, EV sales in the EU as of 2026 YTD grew 26% y-y, while China and North American sales declined by 15% and 25% respectively.

We believe the strong EU sales were driven by a revival of EU subsidies and policy tailwinds. In January 2026, Germany reintroduced EV subsidies of up to EUR6,000 for individuals, while in the UK: (1) the zero emission vehicle (ZEV) mandate rose from 28% in 2025 to 33% in 2026; and (2) the depreciation benefit for businesses buying EVs was extended to March 2027, from March 2026.

I ssue 1. Europe EV subsidy has revived in Germany and the UK

While global EV sales remained muted in Jan-May, recording total sales of 7.5mn, EU EV sales grew 26% y-y due to the introduction of supportive subsidy polices. In January 2026, Germany reintroduced EV subsidies of up to EUR6,000 for individuals, while in the

UK: (1) the zero emission vehicle (ZEV) mandate rose from 28% in 2025 to 33% in 2026; and (2) the depreciation benefit for businesses buying EVs was extended to March 2027, from March 2026.

On the policy front, the European Commission proposed the Industrial Accelerator Act (IAA) in March 2026, introducing "Made in Europe" requirements for public procurement and state-supported programs. Key eligibility criteria include: (1) vehicles must be assembled within the EU; (2) at least 70% of the ex-works value of vehicle components (excluding battery) must originate from the EU; and (3) batteries must incorporate at least three core components, including battery cells, sourced from Europe.

We view these localization requirements as structurally supportive for battery-chain players that have onshore presence in Europe. These include Samsung SDI, LG Energy Solution, SK On (unlisted), CATL, BYD, Gotion High Tech (002074 CH, Neutral), and EVE Energy.

Fig. 7: EU EV subsidies

Region	Previous	New
Germany	• EV subsidy stopped in 2024	• New €1,500-€6,000 purchase subsidy from 2026, income-tiered and retroactive to Jan 1 • Tax exemption on EVs registered through 2030 (up to 10 years) • 0.25% tax rule for electric company cars
UK	• EV subsidy stopped in 2022	GBP650mn Electric Car Grant • Discount up to GBP3,750 on EVs under GBR37,000 starting from 16 July 2025 First year capital allowances • Businesses can claim 100% first year capital allowances on new ZEVs, with the scheme extended through March 2027, from March 2026
Netherland	EVs are subject to 25% of standard motor vehicle tax in 2025 (gradual increase to 100% in 2030)	€3,500 scrappage bonus to buyers of used electric vehicles *(not yet confirmed)* • low-middle incomes • scrappage must belong to emission classes Euro1-4
France	For Electric Car: • Price capped at €2-4K for if vehicle ≤ €47K • Max subsidy of €7K for households with income less than €14K	In 2026, purchase scheme replaced by a CEE-funded 'Prime coup de pouce' • Offers €3,000-5,700 for low-middle income households Leasing Social scheme reactivated in 2026, for high-mileage low-income workers • EVs for €100/month
Spain	Moves Ⅲ extended to December 2025 •EV and EVs with range of +90km: €4.5K and €7K if a vehicle more than 7 years old is scrapped. Vehicle price < €45K •PHEV with 30 - 90km range: €2.5K and €5K if a vehicle that is more than 7 years old is scrapped. Vehicle price < €45K	Moves Ⅲ to be replaced with Plan Auto+ *(not yet confirmed)* • Direct incentives at the point of purchase • Potential purchase subsidy upto €4,500 for electric passenger cars
Italy	€6K without scrapping; €9K/ €10K/ €11K for scrapping a Euro4/ Euro3/ Euro2. Vehicle price <€35K	Unchanged

Source: European Commission, Nomura research

Issue 2. European EV/battery supply chain policies

TCA (Trade & Cooperation/local content rules for EV batteries)

TCA refers to the tightening of EU rules of origin for EVs and batteries, requiring a higher share of local (EU or FTA-country) content to qualify for tariff-free trade. We believe this effectively penalizes reliance on China battery materials and incentivizes localized supply chains. The stricter thresholds are set to meaningfully take effect from 2027, becoming a key inflection point for non-China sourcing, in our view.

IAA (Industrial Acceleration Act / Net-Zero Industry Act–type framework)

IAA is the EU's industrial policy framework that aims to accelerate domestic clean-tech manufacturing – including batteries – through subsidies, permitting support, and local production incentives. It complements the CRMA by strengthening the economics of building battery and materials capacity within Europe. The policy is being phased in through the late 2020s, with full-scale impact expected by around 2030F, in our view.

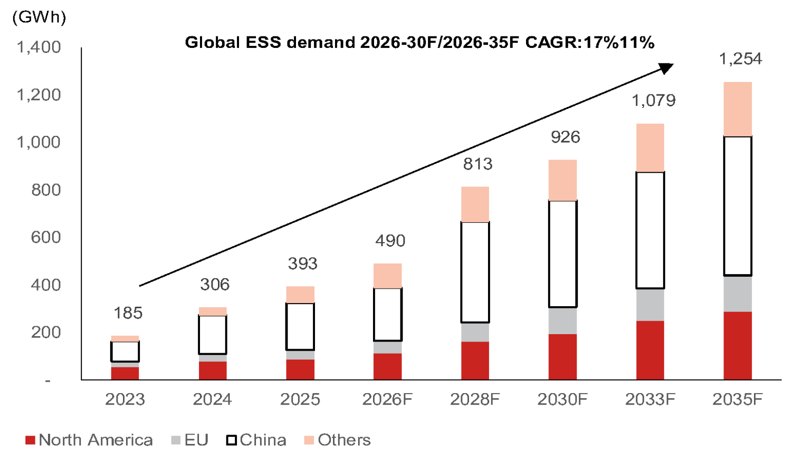
CRMA (Critical Raw Materials Act)

The CRMA seeks to secure stable supply chains for critical minerals (e.g., lithium, nickel, cobalt) by setting targets for domestic extraction, processing, and recycling within the EU. It also aims to reduce the dependency on any single country (notably China) by diversifying sourcing and streamlining project approvals. The act was adopted in 2024, with implementation rolling out progressively through the second half of the decade.

Global ESS market – China holds 80% share

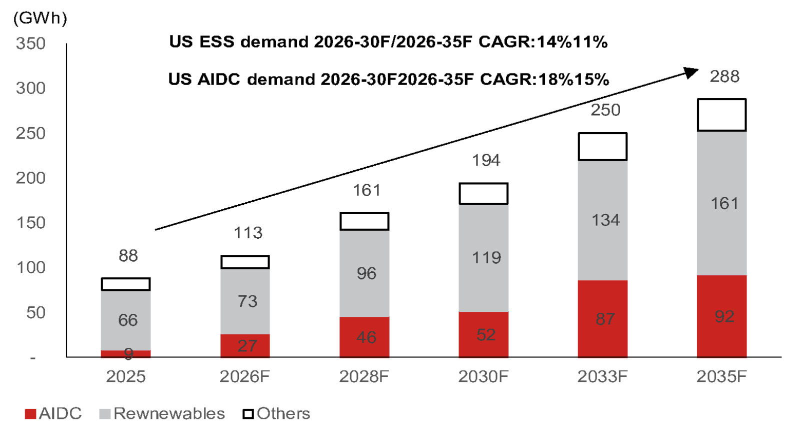
We expect global energy storage system (ESS) batteries to grow by 17%/11% p.a. over 2026-30F/2026-35F to 1.3TWh in 2035F (2026: 490GWh; 50% of 2030F EV batteries), driven by grid applications (70-80% of demand; renewables integration), and UPS applications on increasing AI data center (AIDC) demand. For AIDCs, ESS can be used: (1) in conjunction with solar power connected to AIDC often for both technical and policy/economic purposes; (2) to provide instant power when the grid fails; and (3) to store energy during off-peak hours.

Fig. 8: Global ESS battery demand by country



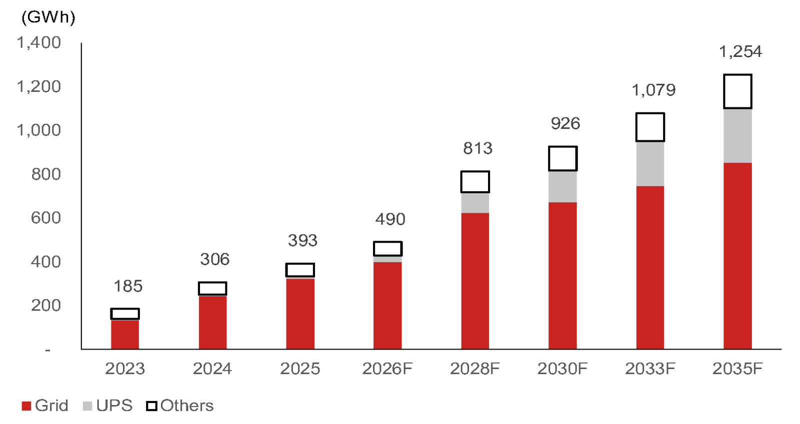
Source: Nomura estimates

Fig. 9: US ESS battery demand by application



Source: Nomura estimates

Fig. 10: Global ESS battery demand by application



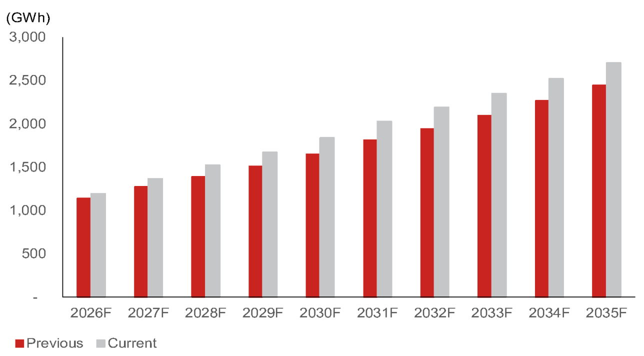
Source: SNE Research, Nomura research

Here is how Nomura's EV and ESS battery forecasts have changed over the last six months

We have raised our global EV and ESS battery demand forecasts over the past six months, with ESS seeing the larger revision.

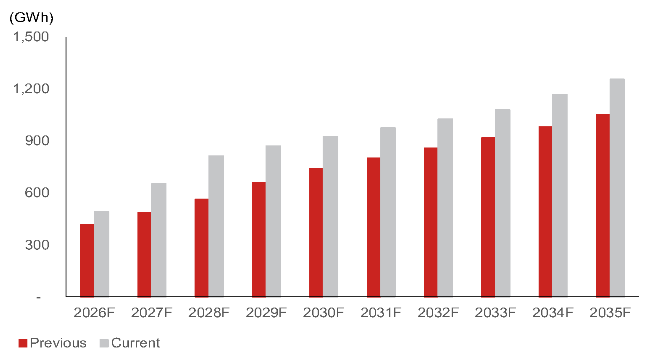
- EV demand for 2030F has been raised by 12%, supported by stronger-than-expected growth in China's PHEV/EV market, ongoing government incentives, and increasing battery capacity per vehicle.
- ESS demand has been revised higher by 25%, reflecting accelerating deployment of AI datacenters, rack-level BBU systems and utility-scale storage required to support renewable energy expansion. While EVs remain the largest source of battery demand, AI-driven power infrastructure is emerging as an increasingly important growth driver for the battery industry.

Fig. 11: Our revised EV battery demand forecast (vs 6 months ago)



Source: Nomura estimates

Fig. 12: Our revised ESS battery demand forecasts (vs 6 months ago)



Source: SNE Research, Nomura estimates

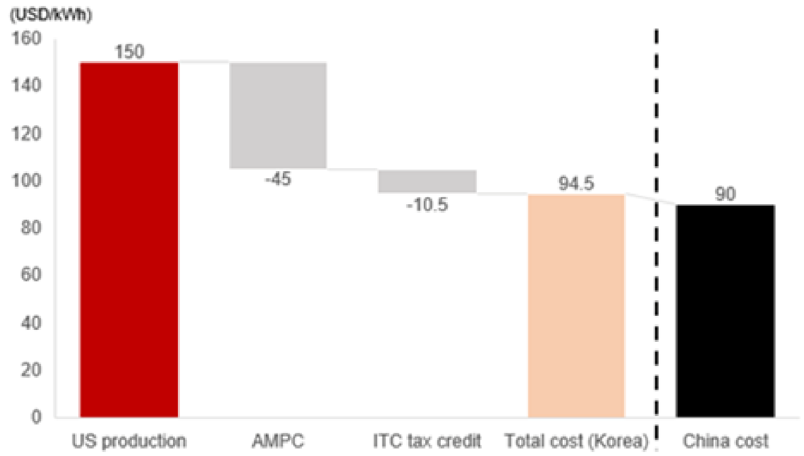
US – ESS battery cost analysis

In North America (particularly the US), aging power grids, expanding renewable energy deployment, and rising AI-related electricity demand should drive battery market growth. At the same time, the US imposition of tariffs on Chinese batteries and restrictions on Chinese battery usage from 2027 is speeding the local supply-chain establishment.

We estimate that US-made ESS batteries are more expensive than Chinese imports, but AMPC (Advanced Manufacturing Production Credit) subsidies and domestic content incentives (additional 10% ITC [Investment Tax Credit]) can make the locally produced ESS batteries competitive. Below is analysis by SNE Research.

- As of 2026, Chinese BESS imported into the US costs around USD90/kWh.
- US-produced BESS (Korean, Japanese) costs around USD150/kWh.
- After applying the USD45/kWh AMPC and the additional 10% Domestic Content ITC, effective costs fall to USD95/kWh. Local production offers advantages in lead time and regulatory approval processes.
- However, AMPC subsidies will phase out from 2033. Even though ITC may reduce onshore BESS production cost, the locally produced BESS (e.g. Korean batteries) would need to work on further cost reduction to compete against Chinese imports.

Fig. 13: US ESS production cost comparison: Korea vs China



Source: Nomura estimates

US ESS battery suppliers and market share

We expect Korea's ESS battery share in the US to reach 15% in 2026F from ~10% in 2025 as Korean cell makers plan to localize production of ESS batteries in the US. We estimate the combined US ESS capacity of the three Korea ESS battery companies, including Samsung SDI (006400 KS, Buy), LG Energy Solution (373220 KS, Buy), and SK On (unlisted), to reach ~67GWh in 2026F, representing 60% of US ESS demand.

Fig. 14: North America ESS demand and Korea's capacity

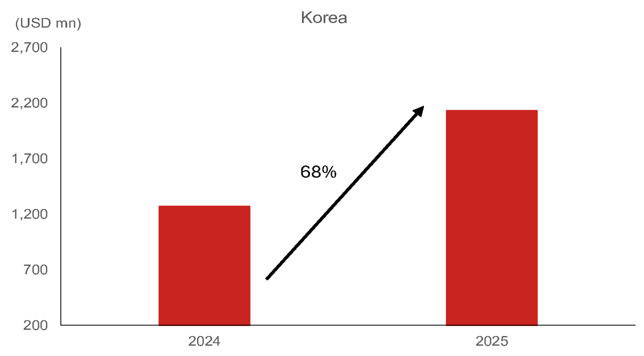
(GWh)	'25	'26F	'27F	'28F	'29F	'30F	'33F	'35F
North America ESS demand	**88**	**113**	**137**	**161**	**178**	**194**	**250**	**288**
Korea capacity								
LG Energy Solution	20	47	75	97	117	143	193	236
Samsung SDI	8	20	34	46	50	55	73	90

Source: Company data, Nomura estimates

Korean ESS battery makers' global market share is expected to rise from ~10% in 2025 to ~ 20% after 2030, in our view. However, outside North America and Korea, Korean battery makers may struggle to expand due to their weakened competitiveness vs Chinese suppliers. We forecast CATL to maintain around 35% global BESS market share, while Hithium and EVE Energy should remain strong competitors in the ESS market.

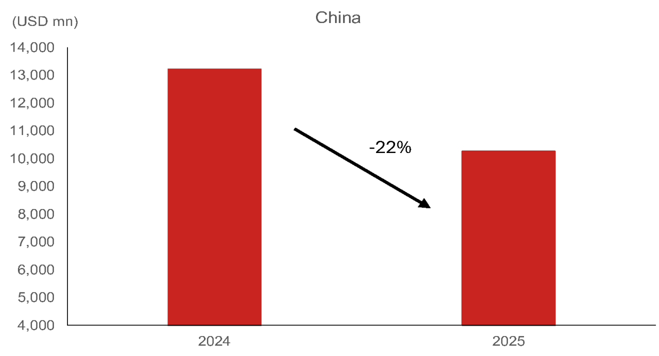
In Jan-Apr 2026, the US's ESS import value from Korea decreased by 8% y-y, recording a stronger growth rate compared to imports from China (-86% y-y), against the backdrop of the US's tariff hikes on China (tariff rate of 38.4% vs 10.0% for Korea in 2026). We attribute this declining trend to inventory adjustment, project timing and policy uncertainty, rather than demand weakness.China's sharper contraction looks to be associated with tariff related disruption.

Fig. 15: US ESS imports from Korea (2024 vs 2025)



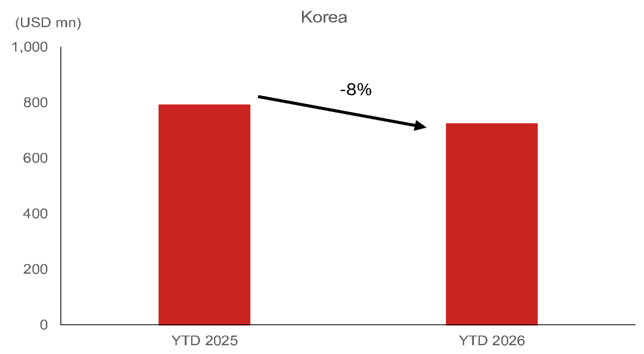
Note: HTS code of 8507600020
Source: USTIC, Nomura research

Fig. 16: US ESS imports from China (2024 vs 2025)



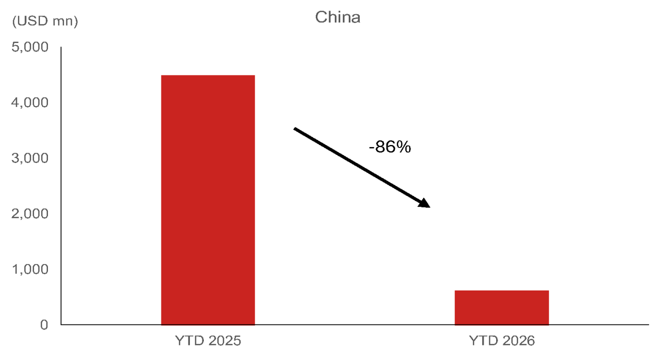
Note: HTS code of 8507600020
Source: USITC, Nomura research

Fig. 17: US ESS imports from Korea (2025 YTD vs 2026 YTD)



Note: 1) HTS code of 8507600020, 8507600030 2) YTD: Jan – Apr
Source: USITC, Nomura research

Fig. 18: US ESS imports from China (2025 YTD vs 2026 YTD)



Note: 1) HTS code of 8507600020, 8507600030 2) YTD: Jan – Apr
Source: USITC, Nomura research

Issue 3. China ESS policy and strategy

China ESS: Policy support revives domestic demand; AIDC emerge as the next growth engine

We expect China's ESS market to re-accelerate in 2026, supported by regulatory reforms (such as Document No.114 helps create a more commercial revenue model for grid-scale storage) that improve project economics and provide more predictable returns for storage operators. China's new policies increasingly recognize energy storage as an independent grid asset, allowing operators to earn revenue from capacity payments, electricity price arbitrage (i.e., charge batteries when electricity prices are low, discharge when prices are high) and grid-balancing services. As a result, we forecast China ESS new installations to reach 222GWh, representing one of the strongest growth markets globally.

Beyond China, overseas ESS demand remains robust, driven by renewable integration, grid modernization, and AI datacenter investments. Compared with conventional grid-storage projects, AI datacenter ESS commands higher pricing and margins due to customized system design and stringent requirements.

China remains the dominant supplier of ESS batteries through its leadership in LFP technology and cost competitiveness. Leading players including CATL, BYD, Hithium and EVE Energy are well positioned to benefit from both domestic demand recovery and growing overseas opportunities, particularly in AI datacenter applications.

Premium ESS capacity tightening despite industry overcapacity concern

Our industry survey suggests 2026 China ESS demand of 220–230GWh could exceed effective supply of ~180GWh, driven by shortages in high-capacity (314Ah+) long-cycle cells rather than overall industry capacity. Tier-1 producers are operating at high utilization rates, inventories remain lean, and capacity additions are constrained by long ramp-up cycles and increasing manufacturing complexity. We are seeing early signs of tightening conditions, with 314Ah cell prices recovering toward RMB0.30/Wh and power conversion system (PCS) pricing also firming. While low-end capacity remains oversupplied, leading ESS suppliers appear positioned to benefit from improving utilization and pricing.

Issue 4. US policies on clean energy subsidy

The US clean-energy policy is structurally more favorable for Korean, Japanese, and US manufacturers as material-assistance cost ratio (MACR)/ prohibited Foreign Entity (PFE) rules steadily increase non-Chinese content requirements for 45Y, 48E, and 45X tax credits. This should improve the competitive position of non-Chinese battery and ESS suppliers over time, particularly from 2027 onward as thresholds rise.

However, MACR functions more as a qualification gate than an outright ban. In our view, Chinese firms may continue to participate through aggressive pricing, technology licensing arrangements, mixed-content sourcing strategies, and project structures that remain compliant with the US policy guidance. As a result, the policy likely narrows—but does not eliminate—China's competitiveness in the US ESS market, in our view.

The policy favors non-China supply chain, but China ESS should remain in the US

- For 48E (clean electricity investment tax credit; eligible upon capex in the US; enacted initially in IRA and amended in OBBBA) and 45Y (production tax credit extended to US onshore producers), the material-assistance cost ratio (MACR; the ratio used to test how much of a project's or component's cost comes from non-PFE vs PFE sources) rules require a growing share of project cost to come from non-PFE producers: for facilities beginning construction in 2026, at least 40% of cost must be non-PFE (the figure was 0% prior to Jan 2026) and for energy storage technology (EST) the threshold is 55% in 2026, rising by 5pp per year to a maximum of 75% for EST from projects beginning construction in 2030 or later.
- This means a US ESS project that relies heavily on Chinese batteries or inverters will fail the MACR requirement and lose access to 48E/45Y, whereas projects supplied by Korean, Japanese, or US manufacturers with non-Chinese supply chains can still capture the credit. At the same time, the US is moving to restrict Chinese ESS imports (e.g., the proposed CHARGE Act and high tariffs of 38.4% vs Korea's 10.0%) to reduce grid security risk and China dependence.
- On the manufacturing side, a similar trend is seen for 45X Advanced Manufacturing Tax Credit (AMPC). IRS guidance applies MACR to battery components which, from Jan 2026, must have 60% of cost from non-PFE producers and this threshold rises to 75– 85% after 2029.

Also, policy enforcement may be uneven. In the case that MACR/PFE enforcement is complex or uncertain, some market participants may continue using Chinese supply chains until the rules are tested in practice. For example, Ford's JV with CATL for LFP batteries was reportedly exempted from the PFE rule, according to our auto team, because the deal was structured to avoid triggering the PFE rules.

Robot batteries

Humanoid and quadruped robots use lithium-ion (Li) batteries that are used for EV/ESS applications, but battery requirements differ significantly. While EV batteries are optimized for energy density, range, and cost, robot batteries need to deliver high power density, lightweight design, rapid charging capability, and robust thermal management to support bipedal locomotion and onboard AI computation. We believe that the humanoid robotics industry is transitioning from a technology demonstration phase toward early commercialization, as seen and supported by the enhanced visibility on the likes of Tesla Optimus, Boston Dynamics Atlas, and Unitree Robotics' (unlisted) production plans, growing policy support in China, and Nvidia's expansion into Physical AI eco- system.

Market size – 9-16GWh in 2030F (vs 1.8TWh for EV)

Our previous estimate assumed 500k humanoid robot shipments and 1.3GWh of battery demand in 2030F. We now believe both assumptions are conservative, and with a revised forecast, we assume the following as the base case for robot battery demand.

- 1.2mn humanoid/quadruped robot shipments in 2030F (previous: 500k)
- Average battery capacity of 3.5kWh per robot (previous 2.5kWh)
- Battery demand of 9-16GWh including replace demand (previous: 1.3GWh)

Under a more bullish scenario, robot shipments could reach ~5mn units by 2030, implying battery demand of ~17GWh while our bear case assumes 1mn units and 3.7GWh for robot and battery shipment. In absolute terms, the robot battery market looks small vs the EV and ESS battery markets, as we forecast EV and ESS battery demand at 1.8TWh and 926GWh, respectively.

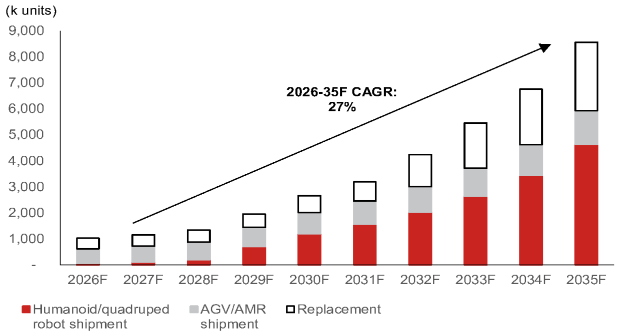
Fig. 19: LiB batteries for robots in 2030F

LiB batteries for Robots in 2030F			
Scenario	**k Units**	**Unit capacity (kWh)**	**Battery demand (GWh)**
Bear	1,056	3.5	3.7
Base	2,655	3.5	9.3
Bull	4,780	3.5	16.7

(k units)	Humanoid/quadruped robot shipment	AGV/AMR shipment	Replacement
2026	50	567	397
2027	100	616	432
2028	200	670	470
2029	700	737	510
2030	1,200	811	645
2031	1,560	892	735
2032	2,028	981	1,233
2033	2,636	1,079	1,743
2034	3,427	1,187	2,134
2035	4,627	1,306	2,628

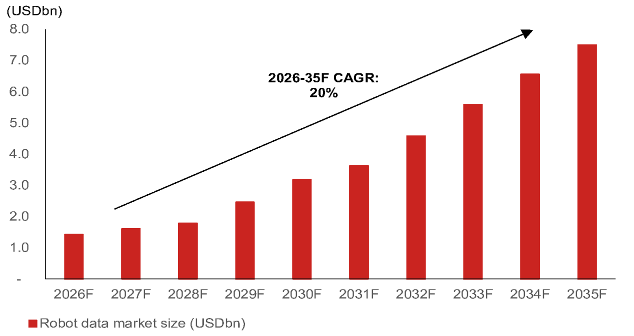
Note: 1) AGV stands for automated guided vehicle, AMR stands for autonomous mobile robot, 2) assuming replacement cycle of 3 years and replacement rate of 90%
Source: IFR, Nomura estimates

Fig. 20: Robotshipment forecasts



Source: IFR, Nomura estimates

Fig. 21: Robot battery market size forecasts



Source: IFR, Nomura estimates

Replacement demand may become as big as new shipment demand

We see robot battery life cycle to be shorter than that of EV or ESS, with 2-5 years for humanoid robots (EV/ESS each 8-10/+10 years), with replacement requirement every 2-4 years due to intensive duty cycles and performance degradation under high C-rate operation. As such, battery demand for robots will consist of new and replacement demand. Under our base case, replacement demand could contribute an additional 2-4GWh annually by 2030s, increasing annual robot battery demand to 9-16GWh in 2030F. Over time, replacement demand may become comparable to demand from newly shipped robots as the installed base expands.

Assuming an average battery life of three years, a meaningful replacement market begins to emerge from 2030 onward. The annual replacement demand can be estimated by dividing the cumulative installed robot base by the replacement cycle of 3 years and multiplying by the average battery capacity per robot. For example, assuming a cumulative installed base of 2–3 million humanoid robots and an average battery capacity of 3.5 kWh , annual replacement demand would reach approximately 2.3–3.5 GWh ((2–3 million units × 3.5)/3 years). This recurring demand should be accounted for in addition to the newly deployed battery shipment when calculating the long-term robot battery market size.

Robot market size – USD opportunity rather than just volume

We think that robot batteries represent a different value proposition than EV and ESS batteries. Typical robot battery sizes range from 0.5 kWh to 4.0 kWh, smaller than EV packs of 50-100 kWh or grid-scale ESS at 100 kWh to GWh-scale. However, robot batteries are likely to command higher ASP, at a cell price of USD200-400/kWh and pack prices of USD300–600/kWh, owing to customization, performance requirements, and lower production volumes. This compares with cell price of USD80-120/kWh for EV and USD60-90/kWh for ESS. As such, we should regard robot batteries as a high-value specialty battery opportunity rather than a volume growth story.

With that, even a 5-10GWh robot battery market could translate into generate economic value comparable to a much larger EV battery market.

Fig. 22: Market size forecast by battery application

	ASP	Demand (2030F;GWh)	Market size (2030F; USDbn)
EV battery	USD80-120/kWh	1,838	USD147-220bn
ESS battery	USD60-90/kWh	926	USD55-83bn
Robot battery	USD200-400/kWh	9	USD2-4bn

Note: Market size calculated based on battery cell price
Source: Nomura estimates

Robots require high nickel or (semi/all) solid state batteries

We believe that robot batteries may favor high-nickel NCM chemistries and/or solid state batteries over LFP chemistries in consideration of robots having to be light-weight, with high customization, and advanced battery management systems (BMS) capable of handling frequent power spikes. As NCMs offer higher power density (NCM 4-8kW/kg, LFP 1-2kW/kg) and higher C-rates (NCM 3-8C; LFP 1-5C), early-generation humanoids are likely to favor high-nickel chemistries until ~2030F, in our view. However, improving LFP performance and battery-swapping architectures could allow LFP to gain visible share in robot applications over time.

Battery energy – 2-4kWh per robot (vs 75kWh per EV)

While battery capacities vary by robot type and application (*Fig. 23*), quadruped robots use 600-1,200Wh batteries, while humanoid robots require larger batteries – likely 2.0-4.0 kWh – to support bipedal locomotion and onboard AI computation. Within humanoids, “lightweight service” robots may require <150Wh, while industrial and labor-substitution humanoids may increasingly require bigger battery capacities.

Robot batteries will likely compete on power density, C-rate (a measure of how fast a battery can be charged; measure of battery’s power delivery capability relative to its energy capacity: Power (W) = Energy (Wh) x C-rate), thermal control, and safety. High C-rate capability is especially critical as robots require instant power for walking, jumping, lifting, balance correction, and rapid motion.

This contrasts with EV batteries, which are optimized for range, efficiency, and cost, and ESS batteries, which prioritize cycle life and long-duration stability. So, in essence, robots require high C-rate (power focused) batteries, EVs use moderate C-rate (but still need fast charging function; energy focused) batteries – requiring high energy density over power density – and ESS relies on low C-rate (duration-focused) batteries.

Fig. 23: Robot batteries by company

Quadruped Robots					
Robot Name	Manufacturer	Country	Main Application	Battery Type	Battery Capacity / Details
Spot	Boston Dynamics	USA	Inspection, logistics, industrial sites	Li-ion	600 Wh, 48 V, swappable
ANYmal	ANYbotics	Switzerland	Industrial inspection, hazardous areas	Li-ion	1,000 Wh, 51.8 V, modular
Unitree Go1	Unitree Robotics	China	Research, education, AI	Li-ion	800 Wh, 28.8 V, 6 Ah
Unitree B1	Unitree Robotics	China	Industrial, logistics, R&D	Li-ion	1,200 Wh, 38.4 V, 30 Ah
Laikago	Unitree Robotics	China	Research	Li-ion	900 Wh, 24 V, 6S (replaceable)
MIT Mini Cheetah	MIT	USA	Research, experiments	Li-polymer	1,200 Wh, 6S Li-Po (3-pack)
Vision 60	Ghost Robotics	USA	Military, police	Li-ion	800–1,000 Wh, replaceable
CyberDog 2	Xiaomi	China	Consumer, education, entertainment	Li-ion	500–600 Wh
Humanoid Robots					
Robot Name	Manufacturer	Country	Main Application	Battery Type	Battery Capacity / Spec
Atlas	Boston Dynamics	USA	High-difficulty mobility, R&D	Li-ion	3.7 kWh
Apollo	Apptronik	USA	Warehousing, manufacturing	Li-ion	2.6 kWh
Optimus (Gen 2)	Tesla	USA	General-purpose labor, automation	Li-ion	~2.3 kWh (est.), ~3 kWh peak
NAO6	SoftBank Robotics	France	Education, research, service	Li-ion	62.5 Wh (21.6 V, 2.9 Ah)
Pepper	SoftBank Robotics	Japan	Customer service, guidance	Li-ion	108 Wh
Ameca	Engineered Arts	UK	Human interaction, exhibition	Li-ion	1,250 Wh
Walker X	UBTECH Robotics	China	Service robot, mobility	Li-ion	546 Wh
Digit	Agility Robotics	USA	Logistics, commercial use	Li-ion	800 Wh
Unitree H1	Hangzhou Yushu Technology	China	R&D, education, entertainment	Li-ion	864 Wh

Source: Company data, Nomura research

Fig. 24: C-rate capability by chemistry

Chemistry	Typical C-rate capability	Characteristic
LFP	~1–3C (up to ~5C engineered)	Stable but slower diffusion
NCM (power-tuned)	3–8C	Higher conductivity
Li-polymer (power cells)	10C+	Thin electrodes, high surface area

Note: *A C-rate of 1C indicates a one-hour discharge; 0.5C is a two-hour discharge and 0.2C is a 5-hour discharge. 5C means 12 min discharge and high performance batteries can be charged/ discharged above 1C with moderate stress.*
Source: Nomura research

Outlook for the global xEV market

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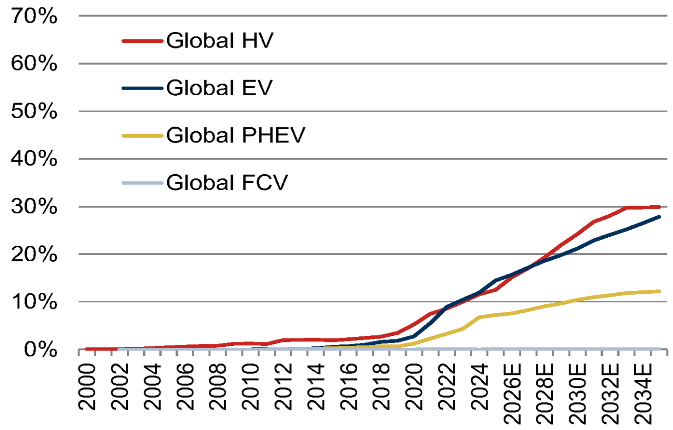
Changes in our view compared to six months ago

We are more positive on battery demand from ESS applications, including stationary storage, than we were six months ago. However, we are more cautious on global demand for EV/PHEV batteries.

Fig. 25: Global xEV sales penetration by powertrain

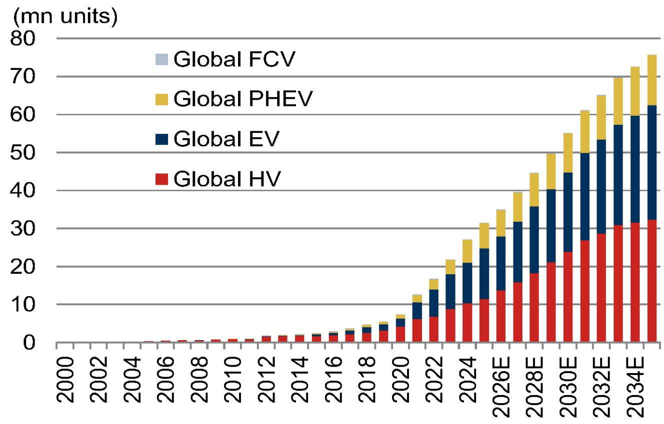
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, JAMA, Marklines, European Environment Agency, ICCT, Ward's Auto, Autodata, Nomura estimates

Fig. 26: Global xEV sales volume by powertrain type

Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, JAMA, Marklines, European Environment Agency, ICCT, Ward's Auto, Autodata, Nomura estimates

We summarize the changes to our global xEV demand forecasts in *Fig. 27* . Our xEV forecasts for regions outside China are little changed through 2030. As 2030 is now only slightly more than three years away, we have extended the focus of our review to 2035.

Geographically, the main changes to our 2035 forecasts are concentrated in the US and China auto markets. In this section, we explain the rationale for our revised US estimates. We have already discussed the changes to our China xEV estimates in our note dated 17 May 2026: *Lowering industry estimates post weak Apr trend* . Most of the revisions to our China xEV estimates were focused on PHEVs *Fig. 27* , where we lowered our forecasts after factoring in weaker sales momentum relative to EVs.

We now include EREVs, or extended-range electric vehicles, in our PHEV estimates, given their functional similarities, the presence of a combustion engine in the powertrain, and broadly comparable battery size.

Fig. 27: Our revised xEV forecasts (vs 6 months ago)

	Current forecasts					Previous estimates					Change (Δ)				
Volume (mn units)	2024	2025	2026E	2030E	2035E	2024	2025E	2026E	2030E	2035E	2024	2025	2026E	2030E	2035E
Global															
Hybrid (including mild hybrid)	10.33	11.48	13.76	23.93	32.35	10.35	11.90	14.17	24.43	31.40	-0.01	-0.41	-0.42	-0.50	0.95
EV	10.67	13.29	14.27	20.90	30.12	10.68	12.73	14.36	20.32	30.66	-0.01	0.56	-0.08	0.57	-0.54
PHEV	6.04	6.64	6.87	10.30	13.18	6.04	7.76	9.19	13.41	16.38	0.00	-1.12	-2.32	-3.12	-3.20
US															
Hybrid (including mild hybrid)	2.20	2.80	3.22	7.70	11.20	2.20	2.75	3.16	7.57	10.27	0.00	0.05	0.06	0.13	0.93
EV	1.28	1.30	1.23	1.39	2.13	1.28	1.30	1.24	1.39	3.34	0.00	-0.01	-0.01	-0.01	-1.20
PHEV	0.32	0.33	0.38	1.23	2.14	0.31	0.34	0.39	1.25	1.69	0.01	-0.01	-0.01	-0.02	0.45
Europe															
Hybrid (including mild hybrid)	4.06	4.57	5.34	6.30	4.38	4.07	4.55	5.26	6.21	4.31	-0.00	0.01	0.07	0.09	0.06
EV	1.99	2.59	2.80	4.90	7.67	1.99	2.43	2.63	4.83	7.57	-0.00	0.15	0.17	0.07	0.11
PHEV	0.95	1.27	1.32	1.58	1.76	0.95	1.21	1.25	1.49	1.66	0.00	0.06	0.07	0.08	0.09
China															
Hybrid (including mild hybrid)	0.99	0.95	1.14	3.91	7.22	0.99	1.17	1.46	4.67	7.37	0.00	-0.22	-0.33	-0.75	-0.15
EV	6.85	8.69	9.00	12.48	15.49	6.85	8.32	9.30	12.18	15.17	0.00	0.37	-0.31	0.30	0.32
PHEV	4.51	4.75	4.76	6.69	8.08	4.51	5.87	6.98	9.48	11.24	0.00	-1.12	-2.22	-2.80	-3.16
	Current forecasts					**Previous estimates**					**Change (Δ)**				
Sales penetration (%)	2024	2025	2026E	2030E	2035E	2024	2025E	2026E	2030E	2035E	2024	2025	2026E	2030E	2035E
Global															
Hybrid (including mild hybrid)	11.5%	12.5%	15.1%	24.2%	29.9%	11.4%	12.9%	15.1%	24.1%	28.3%	0.2%	-0.4%	-0.0%	0.1%	1.6%
EV	11.9%	14.5%	15.7%	21.1%	27.8%	11.7%	13.8%	15.3%	20.0%	27.6%	0.2%	0.7%	0.4%	1.1%	0.2%
PHEV	6.7%	7.2%	7.6%	10.4%	12.2%	6.6%	8.4%	9.8%	13.2%	14.7%	0.1%	-1.2%	-2.3%	-2.8%	-2.6%
US															
Hybrid (including mild hybrid)	13.7%	17.1%	19.7%	45.4%	64.4%	13.7%	16.9%	19.4%	45.0%	59.6%	0.0%	0.2%	0.3%	0.4%	4.8%
EV	8.0%	7.9%	7.6%	8.2%	12.3%	8.0%	8.0%	7.6%	8.3%	19.4%	0.0%	-0.1%	-0.0%	-0.1%	-7.1%
PHEV	2.0%	2.0%	2.4%	7.2%	12.3%	1.9%	2.1%	2.4%	7.4%	9.8%	0.1%	-0.0%	-0.0%	-0.2%	2.5%
Europe															
Hybrid (including mild hybrid)	31.4%	34.4%	40.0%	44.9%	31.2%	31.4%	35.0%	40.0%	44.9%	31.2%	-0.0%	-0.6%	0.0%	0.0%	0.0%
EV	15.4%	19.5%	21.0%	34.9%	54.6%	15.4%	18.7%	20.0%	34.9%	54.6%	-0.0%	0.8%	1.0%	0.0%	0.0%
PHEV	7.4%	9.6%	9.9%	11.2%	12.5%	7.3%	9.3%	9.5%	10.8%	12.0%	0.0%	0.3%	0.4%	0.4%	0.5%
China															
Hybrid (including mild hybrid)	3.6%	3.4%	4.3%	13.4%	22.4%	3.6%	4.2%	5.1%	15.0%	21.4%	0.0%	-0.8%	-0.8%	-1.5%	1.0%
EV	24.9%	31.1%	33.9%	42.9%	48.2%	24.9%	29.5%	32.4%	39.1%	44.1%	0.0%	1.6%	1.6%	3.8%	4.1%
PHEV	16.5%	17.0%	17.9%	23.0%	25.1%	16.5%	20.8%	24.3%	30.4%	32.6%	0.0%	-3.8%	-6.3%	-7.5%	-7.5%

Source: Autodata, Nomura estimates

US EV estimates cut; hybrid/PHEV estimates raised for 2035E

A year ago, we held our US EV demand forecasts broadly flat through 2030. This reflected the potential rollback of EV-specific subsidies, looser new-vehicle emissions standards, and the difficulty of pricing EVs competitively against ICE vehicles amid restrictions on China-sourced EV supply chains. At the time, we expected EV adoption to accelerate after 2030, supported by advances in battery technology and wider sourcing of critical minerals, which we believed would lower EV costs.

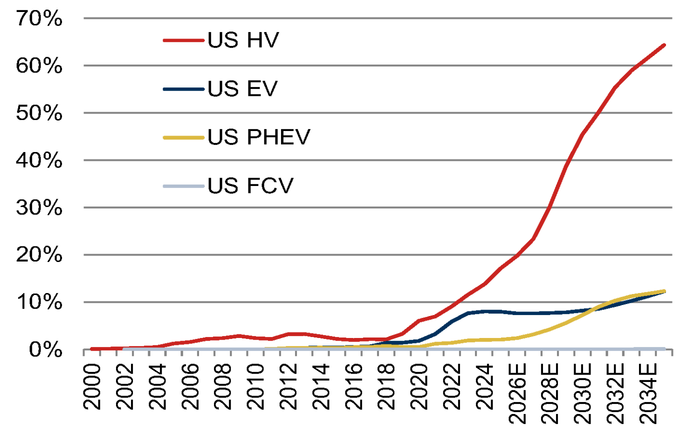
While our outlook through 2030 is unchanged, we now believe OEMs' sharp pivot away from EVs in the US (see *Fig. 30*), due to affordability challenges, sourcing constraints, and regulatory changes — particularly CAFE, GHG and California CARB rules — will keep EV adoption subdued at least until 2035.

This view could change if the US-China relationship shifts from confrontation toward cooperation, or if non-China-linked critical-mineral projects come onstream earlier than expected. For now, however, China has demonstrated that it retains a strong grip on critical parts of the EV manufacturing supply chain. At the same time, the US push to onshore the EV supply chain is being hindered by frequent changes in federal policy, creating uncertainty for automakers' electrification plans.

Thus, we now expect US EV sales to rise from 1.23mn units in 2026E (vs 1.24mn units previously) to 1.39mn units in 2030E (unchanged), and to 2.13mn units in 2035E (down from 3.34mn previously). This implies EV sales penetration of 7.6% in 2026E (unchanged), 8.2% in 2030E (vs 8.3% previously), and 12.3% in 2035E (down from 19.4%). Conversely, we have raised our 2035E sales penetration estimates for hybrids and PHEVs to 64.4% (from 59.6%) and 12.3% (from 9.8%), respectively.

Fig. 28: US xEV sales penetration by powertrain

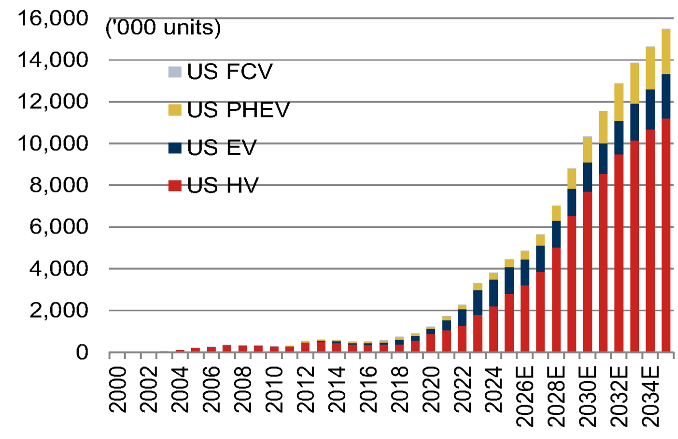
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, Ward's Auto, Autodata, Nomura estimates

Fig. 29: US xEV sales volume by powertrain type

Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, Ward's Auto, Autodata, Nomura estimates

Fig. 30: Changes to major OEMs' EV and battery manufacturing plans in the US

OEM	Changes to EV and battery manufacturing plans in the US after Trump's auto-sector tariffs and changes to new vehicle emissions regulations
Ford Motor	- Ended production of the F-150 Lightning full-size EV pickup and will replace it with a gasoline-electric EREV. - Cancelled plans for the second-generation E-Transit commercial van; its replacement will have a gasoline-hybrid powertrain. - Scrapped plans for a large three-row EV SUV targeting a 2027 launch, booking $2.4bn in cumulative restructuring charges as a result. - Plans to launch a midsize EV pickup in 2027, targeting a $30,000 price tag. - Dissolved the BlueOval SK battery manufacturing JV, scaling back US battery production plans.
Honda Motor	- Ended production of the GM-built Prologue EV and its sibling, the Acura ZDX, after one model year. - Cancelled plans to develop the 0 Series SUV, 0 Series Saloon EV, and Acura RSX EV for the US market. - Scrapped plans to phase out ICE vehicles and move to a full EV lineup by 2040.
General Motors	- Ended production of BrightDrop EV delivery vans. - Cut EV assembly output by reducing its EV-only Factory ZERO in Michigan to a single shift. - Pivoted away from plans to assemble EVs at its Orion facility in Michigan, instead committing to assemble ICE full-size pickups there. - Effectively abandoned its goal to make only EVs by 2035 by redirecting large investments toward combustion-engine development, signaling a commitment to gas-powered vehicles well into the 2030s.
Stellantis	- Scrapped plans to develop a Ram 1500 EV full-size pickup and will instead launch a Ram 1500 gasoline-electric EREV. - Plans to pivot from an EV/PHEV-focused product plan to highly efficient ICE vehicles, expanded hybrid offerings and EREVs for North America. - Sold its 49% stake in the NextStar Energy battery manufacturing JV in Canada to JV partner LGES for $100.
Toyota Motor	- Dropped plans to make Lexus an EV-only brand by 2035, instead focusing on EV variants of flexible hybrid platforms already in its lineup. - The Highlander midsize SUV will be rebooted in MY27 as an EV-only three-row model made in the US, with batteries sourced from Toyota's US battery plant. - The Grand Highlander will effectively become Toyota's mainstay ICE/hybrid midsize SUV. - In preparation, the entry-level MY26 ICE Highlander is priced $4,000 higher than the larger entry-level MY26 Grand Highlander.
Nissan Motor	- Scrapped plans to make two EV crossovers at its Canton, Mississippi plant, instead reviving the Xterra SUV with a V6 gasoline engine. - Paused US sales of the Japan-imported Ariya EV indefinitely.
Mazda Motor	- Scaled back US EV plans by delaying its first dedicated in-house EV platform until 2029 at the earliest. - Pivoted its near-term strategy toward expanding its US hybrid lineup instead of going all-in on full EVs. - Cut its electrification budget to around $7.5bn through 2030, down from about $12.5bn, reducing previously planned battery needs and EV investment.
Subaru	- Indefinitely postponed development of in-house EVs. - Its new plant in Japan will initially produce gasoline vehicles instead of EVs, as originally planned. - Redirecting resources to develop a new e-BOXER hybrid system based on next-generation boxer engines.
Volkswagen	- Ended production of the ID.4 EV at its Chattanooga, Tennessee plant and will focus on the larger Atlas gasoline SUV. - Cancelled plans to bring the ID.7 EV sedan to the US.
Tata Motors PV	- Postponed launches of the Range Rover EV and new-generation Jaguar EVs. - Will focus on a mix of mild hybrids, PHEVs and EVs, rather than transitioning to an EV-only lineup.

Source: Nomura research, company press releases, newswires

Strategic value of the US battery ecosystem should help shield it from adverse policy action

The strategic importance of batteries for AI data centers and defense applications, including robotics, should reduce the political pressure faced by the battery sector relative to other clean-energy segments such as solar and wind. AI and defense are also high priorities for President Trump, unlike EVs. This could result in more durable policy and financial support for battery projects linked to AI data centers and defense applications, even as some prior *EV-linked battery project awards are cancelled*.

Against this fluid geopolitical backdrop, and amid limited mass-market acceptance of EVs and uncertainty around US EV battery demand, some battery manufacturing projects are being repurposed for ESS applications. A good example is Ford's decision to pivot its in-house battery manufacturing operations toward the ESS market, using LFP batteries based on CATL technology, after dissolving its battery manufacturing JV with SK On.

Nevertheless, we see longer-term risks in relying on China-sourced technology without direct Chinese ownership. Just as the US government has restricted China's access to advanced semiconductor technology, the Chinese government could restrict the transfer of next-generation LFP technology to the US, given Chinese companies' leadership in this area. For example, China's Ministry of Commerce, or MOFCOM, *has imposed export controls* on high energy-density batteries, highlighting the Chinese government's sensitivity toward advanced battery technologies.

As a result, we believe OEMs such as Ford will either need to develop next-generation battery technologies internally — which could be challenging for most OEMs apart from Toyota, given their limited experience in this area — or collaborate more closely with Korean or Japanese battery makers. OEMs' pivot toward battery manufacturing for stationary storage systems could therefore also create spillover benefits for the EV battery supply chain.

Battery technology

While high energy density and safety remain the key performance measures for batteries, the industry focuses on cost reduction and performance optimization for new application – such as humanoid robots, AI datacenter, urban air mobility – through production process and cell architecture improvement. Also, environment sustainability is becoming essential.

Fig. 31: Battery technology roadmap

<table>
<tr><th></th><th>~2023</th><th>2024</th><th>2025</th><th>2026E</th><th>2027E</th><th>2028E</th><th>2029E</th><th>2030E~</th></tr>
<tr><td>Energy density</td><td colspan="2">~300 Wh/kg, ~680 Wh/L</td><td colspan="2">320 Wh/kg~, 720 Wh/L~</td><td colspan="4">ASB (400 Wh/kg~, 900 Wh/L~)</td></tr>
<tr><td rowspan="4">Cathode</td><td colspan="2" rowspan="4">High Ni/NCMA (Premium)
Mid-Ni (Entry/Volume)
LFP/LMFP</td><td colspan="2">Ultra High-Ni N9x</td><td></td><td colspan="3">[Dry Electrode] Dry Electrode Poly N9x</td></tr>
<tr><td colspan="3">[ASSB] Multi-crystal NCx for sulfide-based solid-state</td><td></td><td></td><td></td></tr>
<tr><td colspan="2">High-voltage single-crystal mid-grain N8x (4.35V, 220mAh/g)</td><td></td><td colspan="3">[ASSB] Single-crystal NCx for solid-state</td></tr>
<tr><td colspan="3">High-voltage single-crystal mid-grain N9x (4.35V, 225mAh/g)</td><td colspan="3">[ASSB] Dry electrode single-crystal NCx</td></tr>
<tr><td rowspan="2">Anode</td><td colspan="2">Gr + Si</td><td colspan="2">Gr + Si (>10%)</td><td>ASSB (Anode-less / Li-Metal Anode)</td><td colspan="3" rowspan="2">ASSB (Anode-less / Li-Metal Anode)</td></tr>
<tr><td></td><td colspan="2">Pure Si</td><td>Pure Si (Pre-Lithiation)</td><td></td></tr>
<tr><td>Separator</td><td></td><td colspan="4">Semi-solid composite membrane</td><td colspan="3">ASSB composite membrane</td></tr>
<tr><td rowspan="3">Electrolyte</td><td colspan="2" rowspan="3">High Ni/NCMA electrolyte
Si 5-10% electrolyte
High-voltage (4.4V+)
High-voltage Mid-Ni electrolyte
LMR / LFP electrolyte</td><td colspan="6">Sulfide (Argyrodite), Oxyhalide</td></tr>
<tr><td colspan="4">Semi-solid-state electrolyte for UAM/Drone</td><td colspan="2">[ASSB] ASSB electrolyte</td></tr>
<tr><td colspan="6">SPAN cathode LiS electrolyte / ES ratio (<2.5) for UAM/Drone</td></tr>
</table>

Source: SNE Research, Nomura research

Technology landscape

The global battery market will likely remain segmented where (1) LFP batteries are dominating mass-market EVs thanks to the low cost, safety and improved driving range; (2) high-nickel batteries will serve premium EV segments; (3) semi-solid-state batteries will likely be a “bridging technology” until all-solid-state batteries can lower costs materially.

A key factor to monitor in the future, we believe, is how the new batteries like semi or all state batteries achieve meaningful cost reductions and production yields to compete with increasingly efficient LFP and various lithium-ion technologies.

From a competitive standpoint, China dominates the mass-market segment through low-cost LFP and sodium-ion batteries while Korea is positioning as premium batteries through high-nickel chemistries, 4680 cylindrical cells, dry-electrode manufacturing, and all solid-state technologies.

China strategy

We see a diversified technology roadmap for Chinese battery players. BYD launched its Blade Battery 2.0 in March 2026, featuring charging from 10% to 70% SoC in 5 minutes. In April, CATL unveiled latest product upgrades in its annual Tech Day event, including fast-charging LFP and NCM batteries, sodium-ion batteries as well as swappable batteries.

Notably, CATL plans to commence mass production of sodium-ion batteries in 4Q26, and the company has signed a three-year agreement (*link*) to supply 60GWh sodium-ion batteries for ESS to HyperStrong (688411 CH, Not rated). EVE announced that it would start delivery of large-cylindrical batteries to BMW (BMW GR, Not rated) in 2026, with expected shipment of ~13GWh. Gotion plans to finish the construction of its first all-solid-state battery (ASSB) production facility with 2GWh capacity by end-2026, with product verification in 2027.

Korea strategy

Unlike China, which has focused on cost leadership through LFP batteries and large-scale manufacturing, Korean battery companies have pursued a mid to premium segments with a view to maintain competitiveness by delivering long range, fast charging speed and technological sophistication (manufacturing precision, customized solutions) that are more highly valued, mostly via high-nickel battery chemistries.

- LG Energy Solution is Korea's leader in 4680 cylindrical batteries (commercially started in 2025) where the larger cell format improves energy density, reduces pack complexity, lowers manufacturing costs through fewer components, and enhances thermal management.
- Korea has developed a dry-electrode processes, high-speed stacking technologies, advanced formation techniques, and automation systems. Dry-electrode manufacturing, which skips solvent mixing process, reduces production costs, energy consumption, and factory footprint (physical plant size, reduction of equipment; i.e. lower capital intensity). We expect these capabilities to become increasingly important as the industry transitions toward semi-solid-state and all-solid-state batteries.
- Korea is also investing in lithium-metal batteries, solid-state batteries, and silicon-anode technologies.

We believe that over time, China can also do dry electrode process as well as other advanced technologies Korea is working on, but the question is when China does this at scale, will the customers favor the scale advantage or Korea's manufacturing advantage. Overall, Korea's outlook will depend on whether premium battery technologies deliver sufficient performance advantages to justify their higher costs, in our view. Also, geopolitical tensions or trade policies between US/Europe and China can delay business development among the countries, thereby providing opportunities for non-China manufacturers.

Sodium-ion batteries (SiB) – aiming lower cost than LFP

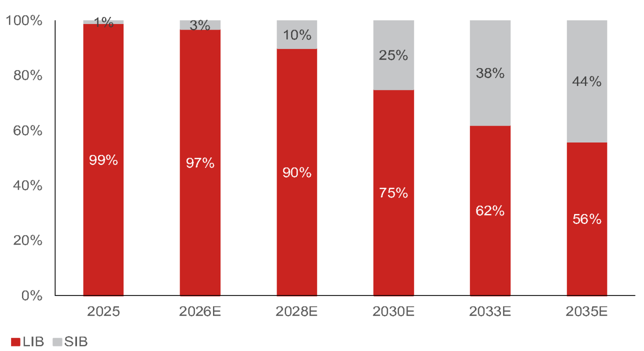
A few years ago, sodium-ion batteries (SIBs) were regarded as a low-cost alternative to lithium-ion batteries for ESS and low-speed mobility applications, but now, we think SiB demand and market share may grow visibly over the next 5-10 years.

Sodium is one of the most abundant elements and is significantly cheaper than lithium. Sodium-ion batteries offer improved safety characteristics, lower thermal risk, and superior low-temperature performance compared with conventional lithium-ion batteries. Recent commercial products from CATL have demonstrated better performance over LFP batteries in temperatures below -20°C.

The key weakness of SiB was the low energy density, but the gap has been narrowing. CATL's latest sodium-ion cells have reportedly achieved 175Wh/kg, approaching entry-level LFP batteries and making them increasingly viable for mass-market EVs. SiB targets stationary energy storage systems and low cost EVs.

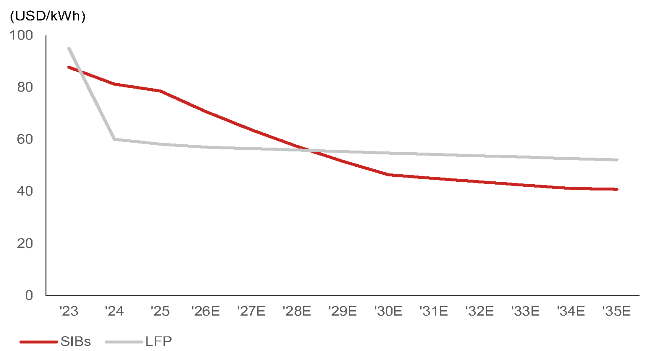
- SNE Research forecasts that in SiB and LiB combined market, SiB may represent 44% of global demand (*Fig. 32*) in 2035E.
- SiB price is currently ~30% more expensive than LFP batteries, but the cost gap may narrow in the future with material technology development and large-scale production.

Fig. 32: LiB vs SiB market share forecasts



Source: SNE Research, Nomura research

Fig. 33: SiB vs LFP cost analysis



Source: SNE Research, Nomura research

China is leading the SiB market where CATL is planning to commercialize sodium batteries from 2H26E, supplying 60GWh to HyperStrong\. In the next few years, CATL may pursue a dual-track strategy where LFP batteries are used for mainstream EVs and sodium-ion batteries for the low-cost ESS. The combination of manufacturing scale, government support, and vertical integration makes China a leader. Japan looks to have a limited role in SiB while Korea is taking a cautious stance toward SiB market. Similar to LFP, Korea may not have the scalability and integrated supply chain model as China, in our view.

Solid state batteries – high potential, but commercialization being delayed

China leads commercialization and cost reduction through semi-solid batteries, while Japan and Korea compete for leadership in all-solid-state batteries. China's semi-solid batteries can leverage existing lithium-ion manufacturing infrastructure while delivering improvements in safety and energy density. As such, we see chances that China will maintain a large cost advantage and dominate volume production over the next few years.

Japan remains the technology leader in all-solid-state batteries. Toyota, Panasonic, and Idemitsu Kosan possess large number of intellectual property portfolios, particularly in sulfide-based solid electrolytes. Toyota is regarded as a leading developer of ASSBs and remains committed to commercializing the technology around 2027–2028.

Korea also seeks to develop ASSBs fast, with Samsung SDI targeting commercialization 2027–2028; LGES is also working intensely, to our knowledge. However, we think both Korea and Japan face challenges in scaling manufacturing capacity and achieving the cost reductions needed for mass-market deployment. As such, we think ASSBs for EV market may be delayed by 1-2 years. While sulfide shows high ionic conductivity with high mechanical strength and flexibility, oxide has high chemical/electrochemical stability, and polymer is superior in its easy processability. However, currently, all the three types have drawbacks to overcome – low oxidation stability for sulfide, poor processability for oxide, and low ionic conductivity for polymer. As such, we expect hybrid battery technologies that can leverage existing manufacturing infrastructure to be commercialized first.

China all-solid-state batteries commercialization unlikely before 2030

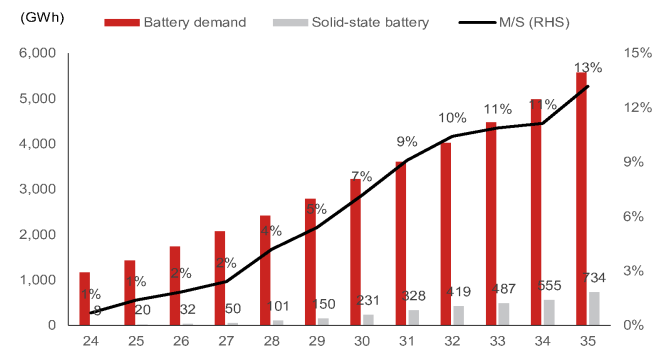
We estimate CATL and BYD are among the most advanced players, while Gotion, Ganfeng Lithium and other developers remain several years behind. Although leading companies have demonstrated pilot-scale production and larger-format cells, cycle life, manufacturing yield and cost competitiveness remain key bottlenecks.

Industry feedback suggests small scale production could begin around 2027, but mass adoption is unlikely before 2030. While current prototypes can achieve 350-400Wh/kg energy density, all-solid-state batteries remain significantly more expensive than conventional LFP cells. In our view, cost reduction and yield improvement—not energy density—are the decisive factors determining commercialization timing.

The biggest hurdle remains the electrolyte. Sulfide electrolyte costs must decline materially from current levels before all-solid-state batteries become economically viable. Recent comments from CATL, which characterized the technology as being at an early development stage and unlikely to achieve large-scale adoption before 2030, reinforce our cautious outlook.

Fig. 34: Solid state battery market forecasts

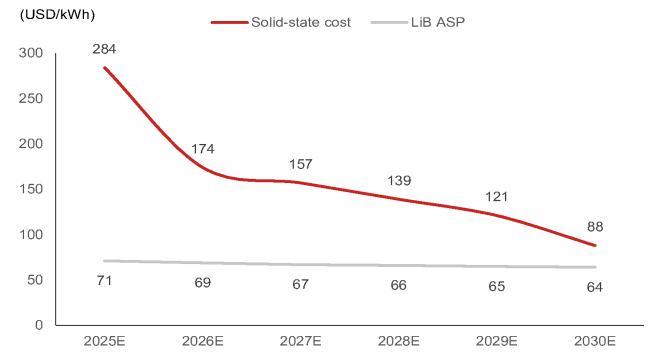
Based on discussion with industry experts, we see high chances of below SSB penetration rate being delayed



Source: SNE Research, Nomura research

Fig. 35: All solid-state battery cost trend (bullish case)

This chart is the cost curve reduction we had projected in Jan 2026; however, this cost curve may be optimistic, based on latest observation



Source: SNE Research, Nomura research

Global lithium and nickel outlook

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Lithium: remains tightly balanced in 2026-27F

We maintain our view that the global lithium supply demand to remain tightly balanced in 2026-27F (see *China lithium – 2026F outlook*). We slightly trimmed our forecasts 2026-27F global lithium demands, mainly to reflect the sales weakness in China passenger EVs, which is offset by robust ESS demands as well as increase in average battery size for EVs. We expect global lithium demand to record a CAGR of 19% over 2025-27F, supported by the continued ESS momentum and fast penetration of commercial EVs such as heavy-duty trucks.

On the other hand, we cut our forecasts for 2026-27F global lithium supplies by 2-4%, mainly to reflect:

- Continued uncertainties in the timeline of Jianxiawo (CATL's in-house lithium mine) resumption, which is likely delayed to 2H26F or FY27F;
- Suspended lithium concentrate export from Zimbabwe in Feb-May 2026, and introduction of export quota allocated to Chinese miners by Zimbabwe government;
- Reduced production guidance for Greenbushes Mine in FY27 (July 2026 – June 2027) by 125-225kt; offset by
- Announced restart of a few Australian lithium mines, such as Bald Hill and Finniss, which should provide incremental supplies in 2027F, in our view.

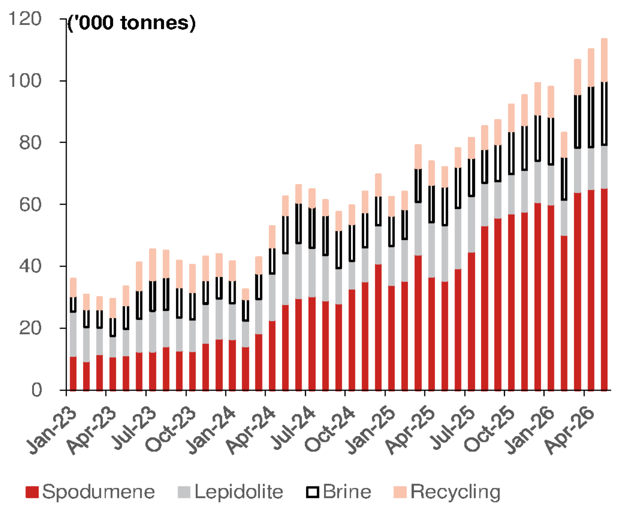
We cut our base-case lithium carbonate price forecasts by 5-6% to CNY170k and CNY190k per tonne (annual average basis) for 2026F and 2027F, respectively, mainly to reflect weakness in China EV sales, as well as additional supplies in Australia. We see upsides risks to our base case scenario from any further supply shock with negative impact on global lithium output, such as any unexpected delay in key projects. On the other hand, we see downside risks to our price forecasts in the event of lower-than-expected EV or ESS demand, and faster-than-expected restart for suspended mines.

Fig. 36: Global lithium supply-demand forecasts

kt LCE	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Lithium demand									
Batteries	**176**	**228**	**397**	**672**	**887**	**1,158**	**1,543**	**1,863**	**2,235**
Electric vehicles	104	130	271	453	625	793	1,004	1,104	1,277
Energy storage	5	23	38	114	157	252	415	623	810
Others	67	75	87	105	104	114	124	135	148
Ceramics and glass	43	44	45	45	45	45	45	45	45
Specialty greases	18	19	20	20	20	20	20	20	20
Other industrials	41	42	43	43	46	48	50	53	55
Total demand	**279**	**333**	**504**	**781**	**997**	**1,271**	**1,659**	**1,980**	**2,356**
y-y	*8%*	*19%*	*51%*	*55%*	*28%*	*27%*	*30%*	*19%*	*19%*
Lithium mining capacity									
Hardrock (spodumene/lepidolite)	311	343	350	475	676	945	1,111	1,245	1,424
Brine	231	231	287	388	447	595	742	853	933
Others (e.g. recycling)	30	40	50	60	70	80	80	80	80
Total capacity	**572**	**615**	**687**	**924**	**1,193**	**1,620**	**1,934**	**2,177**	**2,436**
y-y	*30%*	*7%*	*12%*	*34%*	*29%*	*36%*	*19%*	*13%*	*12%*
Lithium processing capacity									
Lithium carbonate	355	382	446	656	747	987	1,109	1,284	1,324
Lithium hydroxide	134	222	229	394	523	787	920	1,007	1,085
Others (e.g. recycling)	30	40	50	60	70	80	80	80	80
Total capacity	**514**	**635**	**710**	**1,110**	**1,340**	**1,854**	**2,110**	**2,371**	**2,489**
y-y	*8%*	*24%*	*12%*	*56%*	*21%*	*38%*	*14%*	*12%*	*5%*
Surplus / (deficit)	*235*	*282*	*183*	*143*	*196*	*348*	*275*	*197*	*81*
Implied utilization rate for mining capacity	49%	54%	73%	85%	84%	78%	86%	91%	97%
Implied utilization rate for processing capacity	54%	52%	71%	70%	74%	69%	79%	84%	95%
Lithium price (average)									
Battery-grade lithium carbonate - China (CNYk/tonne)	68	44	118	481	259	90	75	170	190
Battery-grade lithium hydroxide - China (CNYk/tonne)	81	50	110	462	274	83	71	150	167
Battery-grade lithium carbonate - International (USDk/tonne)	13.8	9.9	18.7	67.5	43.7	12.5	9.7	22.0	24.6
Battery-grade lithium hydroxide - International (USDk/tonne)	14.9	10.7	18.2	70.1	49.1	12.6	9.5	21.5	24.0

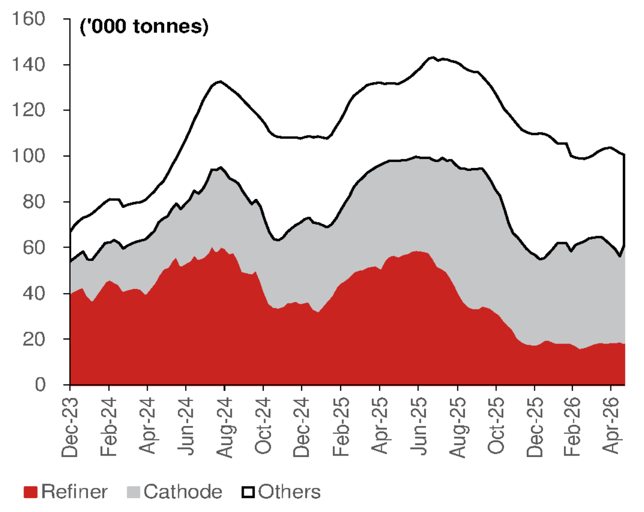
Source: Company data, Nomura estimates

Fig. 37: China monthly lithium carbonate production trend



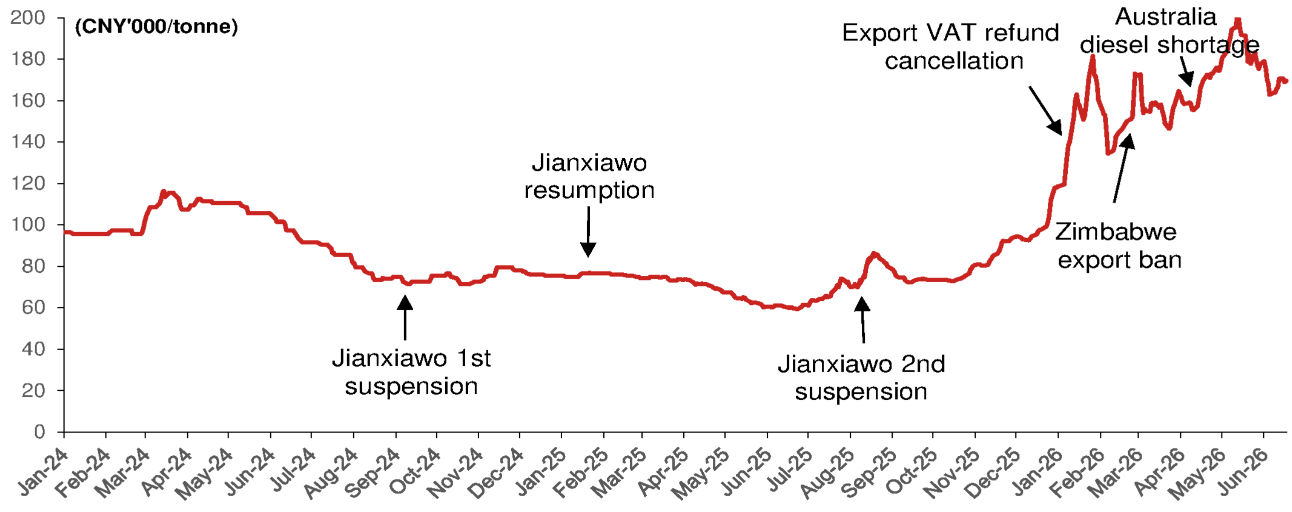
Source: SMM, Nomura research

Fig. 38: China lithium carbonate inventory trend trend



Source: SMM, Nomura research

Fig. 39: Lithium carbonate price trend



Source: Bloomberg Finance L.P., Nomura research

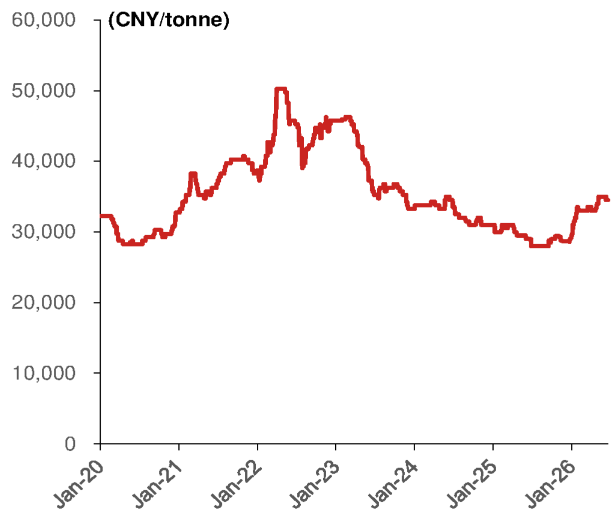
Nickel and cobalt: price volatility on swinging policies

As of 17 June 2026, LME Nickel spot price had increased 8.3% YTD to USD17.9k per tonne, compared to USD16.5k as of end-2025. Nickel sulfate prices in China increased 17% YTD to CNY34.5k per tonne. We see increasing control over nickel mining supplies by Indonesia government, signaled by the significantly lower nickel ore mining quota (RKAB) of 260-270mn wmt for 2026 (vs 379mn wmt in 2025), as announced by Indonesian Ministry of Energy and Mineral Resources (ESDM) in February 2026. On the other hand, the surging sulphur prices in the wake of the Middle East conflict led to forced production cut for HPAL (High Pressure Acid Leach) plants in Indonesia, which uses sulphuric acid to produce MHP (Mixed Hydroxide Precipitate), an intermediate to make battery-grade nickel sulphate. Lastly, Indonesia has revised the benchmark pricing formula for nickel ores (also known as HPM), effective April 15, which raised the price floors for nickel ores and added the by-product cost (e.g. cobalt) to the benchmark. We expect support for nickel prices to stem from the cost inflation and more restrictive policies, while any upside could be capped by sluggish downstream demand.

According to CCMN, China cobalt price dropped 16% YTD to CNY395k per tonne by 17

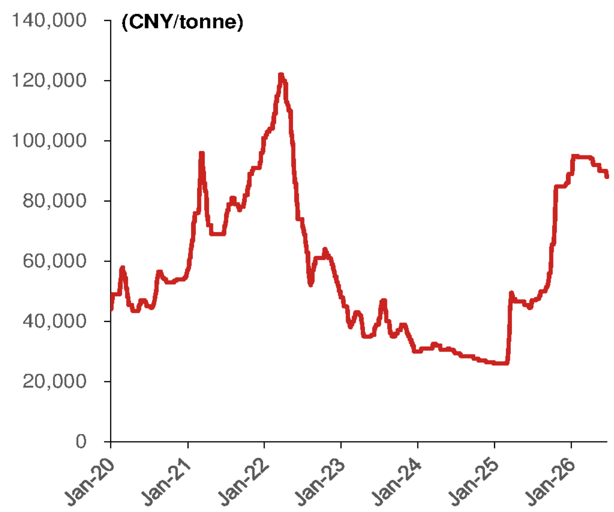
June 2026, likely owing to demand weakness from muted EV sales and higher penetration of LFP batteries, in our view. For the supply side, DRC (Democratic Republic of the Congo) remains the largest source of cobalt mining with 73% global market share in 2025 (source: Cobalt Institute). DRC government imposed cobalt export ban during Feb to Oct 2025, which was subsequently replaced by the export quota system. We expect the global cobalt supply to be capped by DRC's production quota and lowered output from HPAL plants in Indonesia, providing support to cobalt prices in the mid-term, while near-term prices could fluctuate on demand seasonality from downstream.

Fig. 40: China nickel sulphate price trend



Source: Bloomberg Finance L.P., Nomura research

Fig. 41: China cobalt sulphate price trend



Source: Bloomberg Finance L.P., Nomura research

Japan: Panasonic Energy is focusing on DC applications

Research Analysts

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With an 80% global market share in distributed power systems

Panasonic Energy is a leading company with an 80% global market share in distributed power systems for data center applications. There are two types of energy storage systems for data center applications: distributed BBU (Battery Backup Unit: a power supply installed for each rack in the server room) and centralized UPS (Uninterruptible Power System: a power supply centrally managed in a separate room from the servers). From the perspectives of scalability and efficiency, more DC operators are choosing distributed systems.

Responding to surging demand by repurposing automotive battery lines

In response to rapidly increasing demand, the company has begun strengthening its supply structure. It plans to invest approximately JPY350bn between FY26 and FY28. For DC energy storage systems, the company manufactures cylindrical cells at its Tokushima and Nandan plants in Japan, assembles modules at its Mexico plant, and supplies them to multiple hyperscalers in the US. By expanding production lines at existing sites and repurposing automotive battery lines (at Osaka factory, shipment began in April 2026), Japan's cell production capacity will roughly triple by FY28 compared with FY25. Production line for DC will also be introduced at the Kansas plant, which opened in July 2025, with mass production scheduled to begin in FY28. As for modules, the Mexico second plant is scheduled to begin mass production in FY26, and the third plant in FY27.

Launching next-generation products to handle advanced power management

Previously, DC energy storage systems were used as backup power to support stable 365-day operation. However, with AI servers, data processing has become more advanced and complex, and energy storage systems are now being asked to take on new roles. For peak shaving, the company is developing high-power LIB and BBU solutions enabled by chemical x mechanical design. For power load fluctuation absorption, the 1st-generation CBU (Capacitor Backup Unit) in collaboration with Panasonic Industry, will enter mass production during FY26. For increased power efficiency of an entire DC, the company is also preparing for mass production of BBUs built for HVDC (High Voltage Direct Current) during FY26.

Achieving high growth while maintaining high profitability

Sales of energy storage systems for DCs reached JPY322bn in FY25, roughly double the previous year. The company plans to expand this to JPY950bn by FY28E. The company explains that products included in the sales projections have already secured Awards (Agreement on product development initiatives and orders), and we also factor in a similar scale of sales expansion in our forecasts. The adjusted operating margin of the industrial / consumer batteries segment, which includes energy storage systems for DCs, was 15.4% in FY25. In addition to DC applications, this segment includes dry batteries, lithium primary batteries, nickel-metal hydride batteries, and lithium-ion batteries (for notebook PCs, bicycles, and other). We estimate that the standalone profit margin of energy storage systems for DCs is around 20%, above the average for the industrial / consumer batteries segment. Going forward, volume discounts for major customers and a shift in fixed costs from automotive batteries are assumed, but given the increasing value provided as a power-solution offering and the relatively light capital investment burden, we believe that profit margins at roughly the current level can be maintained sufficiently.

NOMURA

Contemporary Amperex Technology 300750.SZ 300750 CH

24 June 2026

EQUITY: TECHNOLOGY

Technology leader with diversified product mix

Reiterate Buy and TP of CNY612

Rating Remains	**Buy**
Target price Remains	**CNY 612.00**
Closing price 22 June 2026	**CNY 408.98**
Implied upside	**+49.6%**
Market Cap (USD mn)	266,015.1
ADT (USD mn)	2,156.5

Diversified product roadmap in fast-charging, sodium-ion and battery swapping

CATL is positioned well with a diversified product mix, in our view. The company has launched its new generation of fast-charging LFP (Shenxing) and NCM (Qilin) batteries, Freevoy batteries for high-capacity EREVs and PHEVs, as well as sodium-ion batteries (Naxtra) that the company plans to start mass producing in 4Q26E with target applications in EVs for extreme temperatures and ESS. CATL also announced a three-year agreement with HyperStrong (688411 CH, Not rated) to supply 60GWh sodium-ion batteries for ESS applications, signaling early-stage adoption of the new product, in our view. For battery swapping, CATL plans to build 4k super-charging and swapping integrated stations by end-2026E and 100k by end-2028E, which we believe should help the company to build its battery swapping ecosystem.

FY26F: Robust shipment growth with resilient profitability

We expect 43% y-y growth in CATL's battery sales to 943GWh in FY26F, driven by solid demand growth for the ESS segment, as well as higher unit battery usage per vehicle to offset weakness in domestic EV sales. We see near-term pressure on margin profiles, while we expect unit profitability for battery sales to remain resilient, as the company could partially pass through the cost inflation downstream. We also expect efforts of upstream lithium mining investment by the company to help mitigate cost pressures. We see potential risks in rising trade conflicts between China and the EU, while we believe CATL remains well positioned, with localized production from the Hungarian plant scheduled to commence in 2026F.

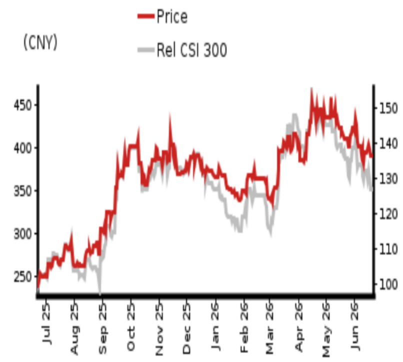
Action: Reiterate Buy and TP of CNY612, implying 49% upside

We continue to like CATL for its market leadership and resilient profitability. We expect its demand growth to be driven by: 1) solid ESS demand growth globally; 2) overseas market share gains; 3) larger battery size per vehicle in the domestic market; and 4) rising penetration of commercial EVs such as electric heavy-duty trucks. We reiterate our Buy rating with an unchanged TP of CNY612, based on unchanged 25x FY27F EPS of CNY24.47, or 1.25x PEG based on an FY26-28F earnings CAGR of 20%. The stock currently trades at an FY26F P/E of 20x.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	423,702	604,964	604,964	712,550	712,550	813,124	813,124
Reported net profit (mn)	72,201	91,472	91,472	111,655	111,655	132,177	132,177
Normalised net profit (mn)	72,201	91,472	91,472	111,655	111,655	132,177	132,177
FD normalised EPS	15.82	20.04	20.04	24.47	24.47	28.96	28.96
FD norm. EPS growth (%)	42.3	26.7	26.7	22.1	22.1	18.4	18.4
FD normalised P/E (x)	25.9	–	20.4	–	16.7	–	14.1
EV/EBITDA (x)	17.3	–	12.4	–	10.1	–	8.3
Price/book (x)	5.5	–	4.8	–	4.1	–	1.6
Dividend yield (%)	1.9	–	2.5	–	1.8	–	4.4
ROE (%)	24.7	25.1	25.1	26.2	26.2	26.0	26.0
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Contemporary Amperex Technology

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-0.5	-1.0	70.2	M cap (USDmn)	266,015.1
Absolute (USD)	-0.2	0.6	80.3	Free float (%)	54.4
Rel to CSI 300	-2.5	-9.2	41.8	3-mth ADT (USDmn)	2,156.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	362,013	423,702	604,964	712,550	813,124
Cost of goods sold	-273,519	-312,383	-458,621	-535,504	-605,621
Gross profit	88,494	111,319	146,343	177,046	207,503
SG&A	-33,917	-40,381	-55,236	-64,347	-74,242
Employee share expense					
Operating profit	54,577	70,938	91,107	112,699	133,261
EBITDA	77,015	95,261	127,057	147,878	165,911
Depreciation	-22,438	-24,323	-35,950	-35,178	-32,650
Amortisation					
EBIT	54,577	70,938	91,107	112,699	133,261
Net interest expense	4,132	7,940	6,559	9,039	13,652
Associates & JCEs					
Other income	4,473	10,649	15,205	15,771	15,558
Earnings before tax	63,182	89,527	112,871	137,509	162,470
Income tax	-9,175	-12,740	-16,062	-19,568	-23,121
Net profit after tax	54,007	76,786	96,809	117,940	139,350
Minority interests	-3,262	-4,585	-5,337	-6,286	-7,173
Other items					
Preferred dividends					
Normalised NPAT	50,745	72,201	91,472	111,655	132,177
Extraordinary items					
Reported NPAT	50,745	72,201	91,472	111,655	132,177
Dividends	-25,372	-36,101	-45,736	-33,496	-39,653
Transfer to reserves	25,372	36,101	45,736	78,158	92,524
Valuations and ratios					
Reported P/E (x)	36.8	25.9	20.4	16.7	14.1
Normalised P/E (x)	36.8	25.9	20.4	16.7	14.1
FD normalised P/E (x)	36.8	25.9	20.4	16.7	14.1
Dividend yield (%)	1.4	1.9	2.5	1.8	4.4
Price/cashflow (x)	19.2	14.0	12.4	11.2	10.4
Price/book (x)	7.6	5.5	4.8	4.1	1.6
EV/EBITDA (x)	21.9	17.3	12.4	10.1	8.3
EV/EBIT (x)	30.8	23.3	17.3	13.3	10.4
Gross margin (%)	24.4	26.3	24.2	24.8	25.5
EBITDA margin (%)	21.3	22.5	21.0	20.8	20.4
EBIT margin (%)	15.1	16.7	15.1	15.8	16.4
Net margin (%)	14.0	17.0	15.1	15.7	16.3
Effective tax rate (%)	14.5	14.2	14.2	14.2	14.2
Dividend payout (%)	50.0	50.0	50.0	30.0	30.0
ROE (%)	22.8	24.7	25.1	26.2	26.0
ROA (pretax %)	11.0	11.9	13.3	16.1	18.9
Growth (%)					
Revenue	-9.7	17.0	42.8	17.8	14.1
EBITDA	15.9	23.7	33.4	16.4	12.2
Normalised EPS	11.0	42.3	26.7	22.1	18.4
Normalised FDEPS	11.0	42.3	26.7	22.1	18.4

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	77,015	95,261	127,057	147,878	165,911
Change in working capital	-11,366	-8,479	12,402	8,967	3,677
Other operating cashflow	31,342	46,439	11,302	9,892	9,852
Cashflow from operations	96,990	133,220	150,761	166,737	179,440
Capital expenditure	-31,180	-42,345	-45,000	-40,500	-30,375
Free cashflow	65,810	90,875	105,761	126,237	149,065
Reduction in investments					
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-17,695	-52,131	0	0	0
CF after investing acts	48,115	38,744	105,761	126,237	149,065
Cash dividends	-25,807	-34,923	-36,101	-45,736	-33,496
Equity issue	2,560	44,814	0	0	0
Debt issue	10,568	-11,912	-5,000	-5,000	-5,000
Convertible debt issue					
Others	-3,442	-6,953	0	0	0
CF from financial acts	-16,121	-8,974	-41,101	-50,736	-38,496
Net cashflow	31,994	29,770	64,660	75,501	110,569
Beginning cash	238,165	270,160	299,930	364,590	440,091
Ending cash	270,160	299,930	364,590	440,091	550,660
Ending net debt	-146,344	-186,522	-256,182	-336,683	-452,252

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	270,160	299,930	364,590	440,091	550,660
Marketable securities	33,352	33,583	33,583	33,583	33,583
Accounts receivable	72,377	94,108	102,280	110,708	115,196
Inventories	59,836	94,526	107,030	117,636	124,743
Other current assets	74,417	116,334	116,334	116,334	116,334
Total current assets	510,142	638,482	723,817	818,353	940,516
LT investments					
Fixed assets	142,344	176,134	176,523	173,185	162,250
Goodwill	14,420	15,264	14,752	14,240	13,728
Other intangible assets	119,752	144,948	143,184	141,419	139,655
Other LT assets					
Total assets	786,658	974,828	1,058,276	1,147,197	1,256,149
Short-term debt	42,578	35,173	35,173	35,173	35,173
Accounts payable	242,585	308,996	342,073	370,076	385,347
Other current liabilities	32,009	55,457	55,457	55,457	55,457
Total current liabilities	317,172	399,626	432,703	460,706	475,977
Long-term debt	81,238	78,235	73,235	68,235	63,235
Convertible debt					
Other LT liabilities	114,792	125,940	125,940	125,940	125,940
Total liabilities	513,202	603,801	631,879	654,881	665,152
Minority interest	26,526	33,919	33,919	33,919	33,919
Preferred stock					
Common stock	4,403	4,564	4,564	4,564	4,564
Retained earnings	242,527	332,544	387,915	453,834	552,514
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	246,930	337,108	392,479	458,398	557,078
Total equity & liabilities	786,658	974,828	1,058,276	1,147,197	1,256,149
Liquidity (x)					
Current ratio	1.61	1.60	1.67	1.78	1.98
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	11.12	15.82	20.04	24.47	28.96
Norm EPS (CNY)	11.12	15.82	20.04	24.47	28.96
FD norm EPS (CNY)	11.12	15.82	20.04	24.47	28.96
BVPS (CNY)	54.11	73.87	86.00	100.44	253.02
DPS (CNY)	5.56	7.91	10.02	7.34	18.01
Activity (days)					
Days receivable	74.7	71.7	59.2	54.6	50.8
Days inventory	70.2	90.2	80.2	76.6	73.2
Days payable	318.5	322.2	259.1	242.7	228.3
Cash cycle	-173.6	-160.4	-119.6	-111.6	-104.2

Source: Company data, Nomura estimates

Company profile

Contemporary Amperex Technology Co Ltd (CATL) is a China-based battery manufacturer founded in 2011. The company specializes in the manufacturing of lithium-ion batteries for electric vehicles and energy storage systems, as well as battery management systems.

Valuation Methodology

Our TP of CNY612.00 is based on 25x of 2027F EPS of CNY24.47, which implies 1.25x FY27F PEG based on FY26-28F earnings CAGR of 20%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks: 1) stronger-than-expected raw material price hike; 2) slower-than-expected shipments to global OEMs; and 3) intensified competition in both China and overseas markets.

ESG

As the leading lithium-ion battery manufacturer globally, CATL supplies batteries to both electric vehicle (EV) and energy storage application (ESS) sectors. Battery is the key component to promote the electrification trend of the global auto industry to replace traditional internal combustion engine (ICE) vehicles with reduced carbon dioxide emission. ESS battery helps to improve the utilization of electricity generated by renewable energies such as wind and solar power, which is environmentally friendly. We believe CATL is one of the key enablers for China to achieve its carbon neutrality target.

Global Markets Research

24 June 2026

Samsung SDI 006400.KS 006400 KS

EQUITY: TECHNOLOGY

We forecast 2026F ESS revenue growth of 54% y-y

SDI on track to gain share in a growing US ESS market and to exit losses in 2H26F

Rating Remains	**Buy**
Target price Remains	**KRW 900,000**
Closing price 22 June 2026	**KRW 533,000**
Implied upside	**+68.9%**
Market Cap (USD mn)	27,929.2
ADT (USD mn)	311.7

Maintain Buy; preferred battery exposure in Korea

We reaffirm our Buy rating on Samsung SDI (SDI) and maintain our TP at KRW900,000 as we believe SDI should be a key beneficiary of growing US energy storage system (ESS) battery demand – amid AI data center (DC) expansions – while competition from China could ease given the likelihood of US subsidy policy discouraging usage of batteries sourced from China in ESS or EVs. We estimate SDI's global ESS capacity will rise to 30GWh/45GWh by end-2026F/27F (US capacity: 20GWh/34GWh), vs US demand of 126GWh/156GWh. Our positive thesis on SDI: 1) SDI is likely to exit operating loss from 3Q26F as its ESS revenue expands and EV battery cost structure improves; 2) ESS market share gain in the US (Korean ESS exports to the US rose 68% y-y in 2025; -15% y-y in 2024; 49% y-y Jan 2026); 3) ESS should contribute 33%/37% of 2026F/27F revenue and 51% of 2027F EBIT. SDI should be flexible in producing NCA or LFP batteries for ESS – from 2H26F – with a plan to use more Korea LFP cathodes to remain eligible for the 45x US subsidy; and 4) improving utilization of Hungary plant to 70% in 2H26F (40GWh), which will be used to supply EV batteries to Hyundai Motor Group, and BMW (BMW GR, Not rated). SDI trades at a 2026F EV/EBITDA of 18.6x, and P/BV of 1.9x (ROE: 0.7%).

Strong EU EV shipments, EV contract line-up, ESS AIDC demand

Since our 30 March report (*link*), the following positive developments have taken place: 1) May EU EV shipments were 0.42mn units, with Jan-May figure up 26% y-y owing to EU subsidies (Germany resumed EV subsidies from Jan 2026) ; 2) SDI signed a contract with Mercedez Benz (MBG GR, Not rated) for high-nickel NCM batteries estimated at ~KRW10tn (*link*); and 3) SDI's ESS order backlog in the US may now cover shipments at its ESS plant sites for 2-3 years. Downside risks include failure to exit operating loss in 2H26 and worse-than-expected shipments of EV/powertool batteries in 2026F. Globally, Jan-May electric vehicle/PHEV sales were up 0.9% (y-y) to 7.5mn units, with US/China sales declining by 25%/15% y-y while Europe saw shipments rise 26% y-y.

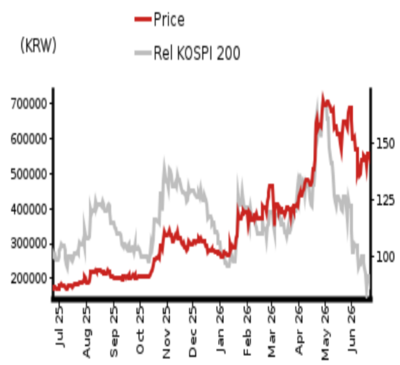
Valuation: Maintain SOTP-based TP of KRW900,000, implying 69% upside

We maintain our TP of KRW900,000, valuing: (1) the large (EV/ESS) and small battery business segments at KRW67.6tn, assuming a WACC of 6.1%; and (2) the electronic materials business at KRW3.2tn. Samsung SDI is our top pick in the EV battery sector.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	13,267	14,914	14,914	16,773	16,773	20,401	20,401
Reported net profit (bn)	-649	153	153	726	726	1,137	1,137
Normalised net profit (bn)	-649	153	153	726	726	1,137	1,137
FD normalised EPS	-7,901	1,867	1,867	8,827	8,827	13,829	13,829
FD norm. EPS growth (%)	-188.2	–	–	372.8	372.8	56.7	56.7
FD normalised P/E (x)	–	–	285.5	–	60.4	–	38.5
EV/EBITDA (x)	44.4	–	18.6	–	12.8	–	9.6
Price/book (x)	2.0	–	1.9	–	1.7	–	1.4
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	-3.1	0.7	0.7	3.1	3.1	4.2	4.2
Net debt/equity (%)	42.3	38.2	38.2	32.4	32.4	27.5	27.5

Source: Company data, Nomura estimates

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Samsung SDI

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-17.6	33.1	202.3	M cap (USDmn)	27,929.2
Absolute (USD)	-18.8	30.3	169.9	Free float (%)	66.7
Rel to KOSPI 200	-38.1	-38.2	-62.1	3-mth ADT (USDmn)	311.7

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	16,592	13,267	14,914	16,773	20,401
Cost of goods sold	-13,499	-11,805	-12,088	-12,642	-14,908
Gross profit	3,094	1,462	2,827	4,131	5,493
SG&A	-2,820	-3,459	-3,281	-3,690	-4,488
Employee share expense	90	275	300	300	350
Operating profit	363	-1,722	-154	741	1,355
EBITDA	2,238	381	2,035	3,309	4,702
Depreciation	-1,795	-2,012	-2,094	-2,468	-3,242
Amortisation	-80	-91	-95	-100	-105
EBIT	363	-1,722	-154	741	1,355
Net interest expense	-281	-270	-297	-326	-359
Associates & JCEs	801	838	847	855	864
Other income	-357	-210	-169	-262	-318
Earnings before tax	527	-1,364	226	1,007	1,541
Income tax	-7	489	-23	-232	-354
Net profit after tax	520	-875	203	776	1,187
Minority interests	24	-65	-50	-50	-50
Other items	55	290	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	599	-649	153	726	1,137
Extraordinary items	0	0	0	0	0
Reported NPAT	599	-649	153	726	1,137
Dividends	-70	-70	0	0	0
Transfer to reserves	529	-719	153	726	1,137
Valuations and ratios					
Reported P/E (x)	59.5	–	285.5	60.4	38.5
Normalised P/E (x)	59.5	-67.5	285.5	60.4	38.5
FD normalised P/E (x)	59.5	–	285.5	60.4	38.5
Dividend yield (%)	0.2	–	–	–	–
Price/cashflow (x)	–	55.3	13.9	13.2	17.4
Price/book (x)	1.8	2.0	1.9	1.7	1.4
EV/EBITDA (x)	17.9	44.4	18.6	12.8	9.6
EV/EBIT (x)	46.6	–	77.6	33.3	24.1
Gross margin (%)	18.6	11.0	19.0	24.6	26.9
EBITDA margin (%)	13.5	2.9	13.6	19.7	23.0
EBIT margin (%)	2.2	-13.0	-1.0	4.4	6.6
Net margin (%)	3.6	-4.9	1.0	4.3	5.6
Effective tax rate (%)	1.3	–	10.0	23.0	23.0
Dividend payout (%)	11.6	–	0.0	0.0	0.0
ROE (%)	3.1	-3.1	0.7	3.1	4.2
ROA (pretax %)	3.3	-2.2	1.6	3.4	4.3
Growth (%)					
Revenue	-26.9	-20.0	12.4	12.5	21.6
EBITDA	-33.4	-83.0	434.8	62.6	42.1
Normalised EPS	-74.5	-188.2	–	372.8	56.7
Normalised FDEPS	-70.2	-188.2	–	372.8	56.7

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,238	381	2,035	3,309	4,702
Change in working capital	-2,529	1,607	-249	739	-175
Other operating cashflow	154	-1,195	1,366	-736	-2,016
Cashflow from operations	-138	792	3,152	3,312	2,512
Capital expenditure	-6,271	-3,067	-2,700	-2,700	-2,700
Free cashflow	-6,409	-2,274	452	612	-188
Reduction in investments	434	-31	-4	-4	-4
Net acquisitions	0	0	0	0	0
Dec in other LT assets	483	-454	671	354	-181
Inc in other LT liabilities	387	419	2,521	1,000	0
Adjustments	49	1,135	-3,166	-1,328	207
CF after investing acts	-5,057	-1,206	474	634	-167
Cash dividends	-70	-70	0	-81	-81
Equity issue	0	59	0	0	0
Debt issue	5,860	-694	-295	508	495
Convertible debt issue	0	0	0	0	0
Others	-373	1,830	50	50	50
CF from financial acts	5,418	1,125	-245	478	464
Net cashflow	361	-81	230	1,111	298
Beginning cash	1,524	1,885	1,804	2,034	3,145
Ending cash	1,885	1,804	2,034	3,145	3,443
Ending net debt	9,693	9,080	8,556	7,953	8,150

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,885	1,804	2,034	3,145	3,443
Marketable securities	176	207	211	215	220
Accounts receivable	2,729	2,146	2,740	3,081	3,748
Inventories	2,879	2,936	2,978	2,107	2,485
Other current assets	2,666	1,647	1,818	1,868	1,952
Total current assets	10,334	8,740	9,780	10,417	11,846
LT investments	10,187	11,427	11,990	12,230	12,475
Fixed assets	17,707	19,241	22,685	26,503	31,095
Goodwill	0	0	0	0	0
Other intangible assets	668	584	684	789	900
Other LT assets	1,702	2,264	1,593	1,239	1,420
Total assets	40,597	42,255	46,732	51,178	57,736
Short-term debt	6,514	5,391	5,645	6,005	6,391
Accounts payable	906	1,071	1,511	1,580	1,863
Other current liabilities	3,436	3,333	3,450	3,641	4,311
Total current liabilities	10,856	9,795	10,607	11,226	12,566
Long-term debt	5,064	5,493	4,944	5,093	5,201
Convertible debt	0	0	0	0	0
Other LT liabilities	3,111	3,397	6,600	8,100	8,100
Total liabilities	19,030	18,685	22,151	24,419	25,867
Minority interest	1,628	2,127	2,177	2,227	2,277
Preferred stock	8	8	8	8	8
Common stock	348	408	408	408	408
Retained earnings	12,780	12,089	12,242	12,968	14,105
Proposed dividends	0	0	0	0	0
Other equity and reserves	6,803	8,938	9,747	11,148	15,071
Total shareholders' equity	19,939	21,443	22,405	24,531	29,591
Total equity & liabilities	40,597	42,255	46,732	51,178	57,736
Liquidity (x)					
Current ratio	0.95	0.89	0.92	0.93	0.94
Interest cover	1.3	-6.4	-0.5	2.3	3.8
Leverage					
Net debt/EBITDA (x)	4.33	23.86	4.20	2.40	1.73
Net debt/equity (%)	48.6	42.3	38.2	32.4	27.5
Per share					
Reported EPS (KRW)	8,958	-7,901	1,867	8,827	13,829
Norm EPS (KRW)	8,958	-7,901	1,867	8,827	13,829
FD norm EPS (KRW)	8,958	-7,901	1,867	8,827	13,829
BVPS (KRW)	298,165	272,487	284,709	311,735	376,034
DPS (KRW)	1,000	0	0	0	0
Activity (days)					
Days receivable	61.6	67.1	59.8	63.3	61.3
Days inventory	83.5	89.9	89.3	73.4	56.4
Days payable	40.9	30.6	39.0	44.6	42.3
Cash cycle	104.3	126.4	110.1	92.1	75.4

Source: Company data, Nomura estimates

Company profile

Samsung SDI Co., Ltd. specializes in developing Lithium Ion Battery (LIB) technology. The company develops batteries for smartphones, energy storage systems, EV and solar panels. Samsung SDI also produces liquid crystal display (LCD) and OLED components and semiconductor process chemical.

Valuation Methodology

Our TP of KRW900,000 is based on our SOTP valuation, reflecting 1) LiB business value at KRW68tn and 2) EM business fair value of KRW3.2tn. The benchmark index for the stock is KOSPI 200.

Risks that may impede the achievement of the target price

Downside risks include failure to exit operating loss in 2H26 and worse-than-expected shipments of EV/powertool batteries in 2026F.

ESG

We believe Samsung SDI is focused on following ESG management. Samsung SDI is making efforts to reduce the negative environmental impact by applying stricter internal standards than legal standards during business activities. Samsung SDI established strict internal standards from product manufacturing process to waste management, and continues with its efforts to reduce environmental impacts accordingly. The company is promoting efficient management of water resources by recycling waste batteries, sorting and collecting wastewater from the battery cleaning process to reusing it as heavy water. In response to climate change, SDI is participating in the carbon emission trading system and disclose information through the Carbon Disclosure Project (CDP). SDI recently joined the Responsible Mining Initiative (RMI), an international organization for the ethical production and distribution of battery raw materials, and participated in the ‘Deep Seabed Mining’ Prevention Initiative (DSM)’ with BMW, Volvo, Google and others for the first time in the battery industry in promoting social value.

Global Markets Research
24 June 2026

EVE Energy 300014.SZ 300014 CH

EQUITY: TECHNOLOGY

Solid growth with margin recovery

Reiterate Buy and TP of CNY100

2Q26 profit alert: sequential earnings growth q-q with net margin improvement

EVE Energy announced a profit alert on 15 June, with reported net profit growth of 95-110% y-y to CNY3.13-3.37bn in 1H26, implying net profit of CNY1.68-1.93bn for 2Q26 (+234-282% y-y and 16-33% q-q). Management attributed the positive growth to: 1) continued business expansion, with around 60% y-y revenue growth in 1H26; and 2) effective efforts to mitigate the impact of material price hikes with stable profitability for the core business. The profit alert indicates a net profit margin of 6.9-7.9% for the company in 2Q26E, sequentially improving q-q from a net margin of 7.0% in 1Q26.

Expect >200GWh battery shipments in 2026F; new capacity planned for 2026-28E

We expect EVE to achieve 66% y-y growth in battery shipments to 201GWh in 2026F, supported by robust ESS demand and a recovery for its EV business. We estimate 80% y-y growth of EV battery shipments to 90GWh, including: 1) ~13GWh in shipments of large-cylindrical batteries, mainly to BMW (BMW GR, Not rated); and 2) over 50% y-y growth in sales of commercial EV batteries to ~50GWh. For the company's ESS business, we expect 56% y-y shipment growth to 111GWh, backed by robust demand momentum. The company has announced four capacity expansion projects in China since late-March, totaling nameplate capacity of 230GWh, with investment of CNY23bn. According to management, two projects (120GWh) are scheduled to be commissioned by mid-2027E, with the remaining two in 2028E. For overseas facilities, EVE's Malaysia ESS plant will be ramping up in 2H26E, with full production expected in 2027E, and the Hungary plant will be launched by end-2027E. We believe EVE is on track to achieve volume growth above the industry average in FY26-27F, helped by a gradual recovery of its EV segment with more contribution from diversified products and commercial EVs, as well as continued strength in ESS sales, with easing capacity constraints.

Reiterate Buy rating and TP of CNY100, implying 42% upside

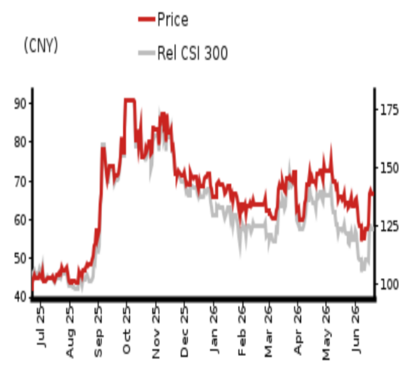
We reiterate our Buy rating and TP of CNY100, based on 25x 2027F P/E for the EV and ESS battery segments, 20x 2027F P/E for the consumer battery segment, and the latest market cap for its 31% stake in Smoore International (6969 HK, Not rated). Our TP implies 21x FY27F EPS of CNY4.75. The stock currently trades at FY26F/27F P/Es of 19x/15x.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	61,470	99,679	99,679	125,437	125,437	147,647	147,647
Reported net profit (mn)	4,134	7,503	7,503	9,862	9,862	12,229	12,229
Normalised net profit (mn)	4,134	7,503	7,503	9,862	9,862	12,229	12,229
FD normalised EPS	1.99	3.62	3.62	4.75	4.75	5.90	5.90
FD norm. EPS growth (%)	0.1	81.5	81.5	31.4	31.4	24.0	24.0
FD normalised P/E (x)	35.2	–	19.4	–	14.8	–	11.9
EV/EBITDA (x)	24.4	–	15.0	–	11.2	–	8.8
Price/book (x)	3.6	–	3.1	–	2.7	–	2.3
Dividend yield (%)	0.7	–	1.3	–	1.7	–	2.0
ROE (%)	10.6	17.2	17.2	19.7	19.7	20.9	20.9
Net debt/equity (%)	39.0	7.6	7.6	11.5	11.5	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Remains	**CNY 100.00**
Closing price 22 June 2026	**CNY 70.23**
Implied upside	**+42.4%**
Market Cap (USD mn)	22,520.2
ADT (USD mn)	763.4

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on EVE Energy

Performance

(%)	1M	3M	12M		
Absolute (CNY)	9.1	-0.8	67.0	M cap (USDmn)	22,520.2
Absolute (USD)	9.4	0.8	76.9	Free float (%)	96.8
Rel to CSI 300	7.1	-9.0	38.5	3-mth ADT (USDmn)	763.4

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	48,615	61,470	99,679	125,437	147,647
Cost of goods sold	-40,149	-51,528	-83,431	-104,776	-122,845
Gross profit	8,465	9,941	16,248	20,661	24,802
SG&A	-4,998	-6,488	-9,226	-11,233	-12,779
Employee share expense					
Operating profit	3,467	3,453	7,023	9,428	12,023
EBITDA	5,880	7,044	10,650	14,502	17,533
Depreciation	-2,413	-3,591	-3,627	-5,075	-5,510
Amortisation					
EBIT	3,467	3,453	7,023	9,428	12,023
Net interest expense	-429	-685	-732	-618	-672
Associates & JCEs					
Other income	1,601	1,673	1,768	1,782	1,782
Earnings before tax	4,638	4,440	8,058	10,592	13,133
Income tax	-417	-138	-250	-329	-408
Net profit after tax	4,221	4,302	7,808	10,263	12,725
Minority interests	-146	-168	-305	-400	-496
Other items					
Preferred dividends					
Normalised NPAT	4,076	4,134	7,503	9,862	12,229
Extraordinary items					
Reported NPAT	4,076	4,134	7,503	9,862	12,229
Dividends	-1,019	-1,008	-1,829	-2,404	-2,981
Transfer to reserves	3,056	3,127	5,675	7,458	9,248
Valuations and ratios					
Reported P/E (x)	35.3	35.2	19.4	14.8	11.9
Normalised P/E (x)	35.3	35.2	19.4	14.8	11.9
FD normalised P/E (x)	35.3	35.2	19.4	14.8	11.9
Dividend yield (%)	0.7	0.7	1.3	1.7	2.0
Price/cashflow (x)	32.4	13.2	8.3	7.7	6.9
Price/book (x)	3.8	3.6	3.1	2.7	2.3
EV/EBITDA (x)	29.2	24.4	15.0	11.2	8.8
EV/EBIT (x)	49.6	49.8	22.8	17.3	12.9
Gross margin (%)	17.4	16.2	16.3	16.5	16.8
EBITDA margin (%)	12.1	11.5	10.7	11.6	11.9
EBIT margin (%)	7.1	5.6	7.0	7.5	8.1
Net margin (%)	8.4	6.7	7.5	7.9	8.3
Effective tax rate (%)	9.0	3.1	3.1	3.1	3.1
Dividend payout (%)	25.0	24.4	24.4	24.4	24.4
ROE (%)	11.3	10.6	17.2	19.7	20.9
ROA (pretax %)	3.9	3.5	6.2	7.0	7.7
Growth (%)					
Revenue	-0.3	26.4	62.2	25.8	17.7
EBITDA	29.9	19.8	51.2	36.2	20.9
Normalised EPS	0.6	0.1	81.5	31.4	24.0
Normalised FDEPS	0.6	0.1	81.5	31.4	24.0

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	5,880	7,044	10,650	14,502	17,533
Change in working capital	-2,901	4,030	7,315	4,833	3,960
Other operating cashflow	1,455	-77	-383	-347	-480
Cashflow from operations	4,434	10,997	17,582	18,987	21,013
Capital expenditure	-5,545	-10,300	-4,000	-20,000	-10,000
Free cashflow	-1,112	697	13,582	-1,013	11,013
Reduction in investments					
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-1,765	303	613	734	741
CF after investing acts	-2,877	1,000	14,196	-279	11,754
Cash dividends	-1,019	-1,008	-1,829	-2,404	-2,981
Equity issue	28	0	0	0	0
Debt issue	3,768	1,000	1,000	1,000	1,000
Convertible debt issue					
Others	-1,341	0	0	0	0
CF from financial acts	1,435	-8	-829	-1,404	-1,981
Net cashflow	-1,441	992	13,367	-1,683	9,773
Beginning cash	10,506	9,065	10,057	23,424	21,742
Ending cash	9,065	10,057	23,424	21,742	31,515
Ending net debt	15,878	15,886	3,519	6,201	-2,572

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	9,065	10,057	23,424	21,742	31,515
Marketable securities					
Accounts receivable	16,740	19,795	32,099	40,394	47,546
Inventories	5,251	7,423	12,019	15,094	17,696
Other current assets	6,928	6,928	6,928	6,928	6,928
Total current assets	37,985	44,203	74,470	84,158	103,686
LT investments					
Fixed assets	39,626	46,335	46,708	61,633	66,123
Goodwill	2,013	1,879	1,746	1,612	1,478
Other intangible assets	21,267	22,024	22,712	23,295	23,870
Other LT assets					
Total assets	100,891	114,442	145,636	170,697	195,156
Short-term debt	7,374	8,374	9,374	10,374	11,374
Accounts payable	29,856	39,112	63,327	79,530	93,245
Other current liabilities	2,608	2,608	2,608	2,608	2,608
Total current liabilities	39,838	50,095	75,310	92,512	107,227
Long-term debt	17,569	17,569	17,569	17,569	17,569
Convertible debt					
Other LT liabilities	2,484	2,484	2,484	2,484	2,484
Total liabilities	59,891	70,148	95,363	112,566	127,280
Minority interest	3,418	3,586	3,891	4,291	4,788
Preferred stock					
Common stock	37,581	40,707	46,382	53,840	63,088
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	37,581	40,707	46,382	53,840	63,088
Total equity & liabilities	100,891	114,442	145,636	170,697	195,156
Liquidity (x)					
Current ratio	0.95	0.88	0.99	0.91	0.97
Interest cover	8.1	5.0	9.6	15.3	17.9
Leverage					
Net debt/EBITDA (x)	2.70	2.26	0.33	0.43	net cash
Net debt/equity (%)	42.3	39.0	7.6	11.5	net cash
Per share					
Reported EPS (CNY)	1.99	1.99	3.62	4.75	5.90
Norm EPS (CNY)	1.99	1.99	3.62	4.75	5.90
FD norm EPS (CNY)	1.99	1.99	3.62	4.75	5.90
BVPS (CNY)	18.37	19.63	22.36	25.96	30.42
DPS (CNY)	0.50	0.49	0.88	1.16	1.44
Activity (days)					
Days receivable	117.9	108.5	95.0	105.5	109.0
Days inventory	52.7	44.9	42.5	47.2	48.8
Days payable	277.8	244.3	224.1	248.8	257.4
Cash cycle	-107.2	-90.9	-86.5	-96.1	-99.5

Source: Company data, Nomura estimates

Company profile

EVE Energy was established in 2001, and mainly engaged in production of lithium primary batteries, lithium polymer batteries and lithium-ion batteries, which can be used in various sectors such as EV, energy storage and consumer electronics.

Valuation Methodology

Our TP of CNY100.00 is based on a SoTP methodology, with 25x 2027F P/E for EV and ESS battery segment, 20x 2027F P/E for consumer battery segment, and the latest market cap for its 31% stake in Smoore International. Our TP implies 21x 2027F EPS of CNY4.75. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) EV battery oversupply due to aggressive capacity expansion; (2) intensified price competition from domestic and global battery makers; and (3) stricter policy regulation on the e-cigarette market in China.

ESG

EVE Energy supplies batteries to both electric vehicle (EV) and energy storage application (ESS) sectors. Battery is the key component to promote the electrification trend of the global auto industry to replace traditional internal combustion engine (ICE) vehicles with reduced carbon dioxide emission. ESS battery helps to improve the utilization of electricity generated by renewable energies such as wind and solar power, which is environmentally friendly. We believe EVE Energy is one of the key enablers for China to achieve its carbon neutrality target.

NOMURA

Global Markets Research

23 June 2026

L&F 066970.KS 066970 KS

EQUITY: CHEMICALS

Launching first Korean LFP cathode in 3Q26

LFP cathode production (3Q26F) may lead to new contracts, while N95 cathode may expand applications

Rating Remains	Buy
Target price Remains	KRW 200,000
Closing price 22 June 2026	KRW 125,700
Implied upside	+59.1%
Market Cap (USD mn)	3,315.8
ADT (USD mn)	95.0

Maintain Buy: LFP cathode commercialization in 3Q26F for ESS applications

We reaffirm our Buy rating on L&F with a target price of KRW200,000. Our investment thesis is based on: (1) its LFP commercialization in 3Q26F – first in Korea to produce LFP cathode – could lead to new contracts. L&F has signed a KRW1.6tn contract with Samsung SDI (006400 KS, Buy), which we estimate to be 120-150k tons over 2026-29F (extendable to 2032F); we believe the contract is for SDI's ESS production in the US; (2) L&F's structurally resilient Tesla (TSLA US, Not rated) exposure (high-nickel N95 cathode); (3) earnings exiting loss since 3Q25; and (4) L&F's high-nickel cathode may see an expansion of applications such as humanoid robots. We believe LG Energy Solution (LGES; 373220 KS, Buy) is L&F's largest customer (~85% of revenue), which we presume is mostly for Tesla, while SK On (unlisted) represents ~15% of L&F's revenue. We estimate that if LFP shipments rise in 2027F, SDI will likely command >30% of those shipments. For 2026F, we expect total shipment growth of 20% y-y. While LFP cathode's ASP is one-third of high-nickel cathode, cathode volume per GWh is ~80% higher, reflecting LFP's lower energy density (lower voltage, specific capacity) requiring higher material intensity to achieve equivalent energy output.

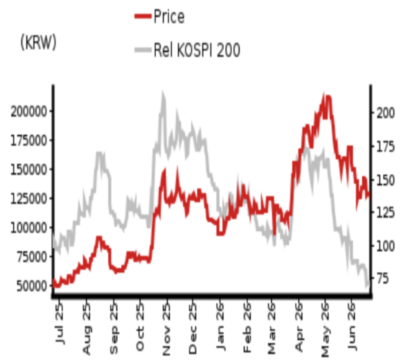
Upside catalysts: turning to profit, new contract wins, LFP commercialization

In Sep-25, L&F issued a bonded warrant of KRW300bn, structured as a zero-coupon bond with a detachable warrant, which allowed investors to subscribe to new shares. As over 65% of warrants have converted to equity as of Feb-26, we believe this should help alleviate L&F's high leverage ratio (net debt-equity of 174%), despite the share dilution impact of ~16% (assuming all are converted). Upside catalysts include: earnings recovery, new contract wins, and LFP production. Downside risks: contract cancellation with battery or OEM customers.

Valuation: TP of KRW200,000, based on DCF method, implying 59% upside

Our TP of KRW200,000 is based on DCF valuation, assuming: 1) cathode capacity of 220k/410k tpa in 2026F/35F (2025: 190k tpa); 2) cathode shipments increasing by 16% p.a. and ASP declining by 3% p.a. in 2026-35F; 3) an average EBIT margin of 5.3% for 2026-35F; and 4) WACC of 5.8%. The stock currently trades at a 2026F P/BV of 7.7x (ROE: -7.5%).

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	2,155	2,534	2,534	4,036	4,036	4,404	4,404
Reported net profit (bn)	-534	-49	-49	86	86	123	123
Normalised net profit (bn)	-534	-49	-49	86	86	123	123
FD normalised EPS	-810	-1,218	-1,218	2,225	2,225	3,066	3,066
FD norm. EPS growth (%)	–	–	–	–	–	37.8	37.8
FD normalised P/E (x)	–	–	–	–	56.5	–	41.0
EV/EBITDA (x)	–	–	26.5	–	20.6	–	17.8
Price/book (x)	7.2	–	7.7	–	7.0	–	5.9
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	-77.0	-7.5	-7.5	12.7	12.7	15.6	15.6
Net debt/equity (%)	142.4	174.0	174.0	172.1	172.1	152.5	152.5

Source: Company data, Nomura estimates

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on L&F

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-20.9	12.1	146.0	M cap (USDmn)	3,315.8
Absolute (USD)	-22.0	9.8	119.6	Free float (%)	64.9
Rel to KOSPI 200	-41.4	-59.1	-118.5	3-mth ADT (USDmn)	95.0

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,907	2,155	2,534	4,036	4,404
Cost of goods sold	-2,371	-2,226	-2,333	-3,731	-4,073
Gross profit	-463	-71	201	305	331
SG&A	-95	-86	-75	-103	-97
Employee share expense					
Operating profit	-559	-157	127	202	233
EBITDA	-495	-72	212	280	325
Depreciation	-60	-82	-82	-74	-88
Amortisation	-3	-3	-4	-4	-4
EBIT	-559	-157	127	202	233
Net interest expense	-101	-116	-58	-65	-70
Associates & JCEs	0	-4	-4	-4	-4
Other income	140	-291	-124	-24	-4
Earnings before tax	-520	-568	-60	108	155
Income tax	139	33	12	-22	-31
Net profit after tax	-381	-535	-48	87	124
Minority interests	3	1	-1	-1	-1
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	-378	-534	-49	86	123
Extraordinary items					
Reported NPAT	-378	-534	-49	86	123
Dividends	0	0	0	0	0
Transfer to reserves	-378	-534	-49	86	123
Valuations and ratios					
Reported P/E (x)	–	–	–	56.5	41.0
Normalised P/E (x)	-11.1	-154.7	-98.7	56.5	41.0
FD normalised P/E (x)	–	–	–	56.5	41.0
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	16.2	–	17.0	–	–
Price/book (x)	5.9	7.2	7.7	7.0	5.9
EV/EBITDA (x)	–	–	26.5	20.6	17.8
EV/EBIT (x)	–	–	45.0	28.7	25.0
Gross margin (%)	-24.3	-3.3	7.9	7.5	7.5
EBITDA margin (%)	-26.0	-3.3	8.4	6.9	7.4
EBIT margin (%)	-29.3	-7.3	5.0	5.0	5.3
Net margin (%)	-19.8	-24.8	-1.9	2.1	2.8
Effective tax rate (%)	–	–	–	20.0	20.0
Dividend payout (%)	–	–	–	0.0	0.0
ROE (%)	-41.7	-77.0	-7.5	12.7	15.6
ROA (pretax %)	-19.9	-6.1	4.3	6.2	6.4
Growth (%)					
Revenue	-58.9	13.0	17.6	59.3	9.1
EBITDA		–	–	31.9	16.2
Normalised EPS		–	–	–	37.8
Normalised FDEPS		–	–	–	37.8

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	-495	-72	212	280	325
Change in working capital	1,156	265	-256	-197	18
Other operating cashflow	-380	-223	342	-184	-365
Cashflow from operations	281	-29	298	-101	-22
Capital expenditure	-210	-139	-285	-190	-285
Free cashflow	71	-168	13	-291	-307
Reduction in investments	-95	32	-200	100	100
Net acquisitions					
Dec in other LT assets	-183	-14	212	-76	-30
Inc in other LT liabilities	-6	-4	85	125	0
Adjustments	254	-12	-297	-49	30
CF after investing acts	41	-167	-187	-191	-207
Cash dividends	0	0	0	0	0
Equity issue	-2	-7	0	0	0
Debt issue	-28	318	95	128	-6
Convertible debt issue	0	0	70	70	70
Others	28	-40	60	27	161
CF from financial acts	-2	270	225	225	225
Net cashflow	38	103	38	34	18
Beginning cash	241	280	383	421	455
Ending cash	280	383	421	455	473
Ending net debt	1,100	959	1,086	1,250	1,296

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	280	383	421	455	473
Marketable securities	6	2	202	102	2
Accounts receivable	191	336	346	538	551
Inventories	575	595	778	933	1,018
Other current assets	38	30	63	86	89
Total current assets	1,090	1,347	1,810	2,114	2,133
LT investments	1	0	0	0	0
Fixed assets	1,260	1,326	1,245	1,464	1,721
Goodwill	0	0	0	0	0
Other intangible assets	17	15	15	16	17
Other LT assets	433	447	235	312	342
Total assets	2,800	3,134	3,307	3,906	4,213
Short-term debt	877	963	1,003	1,076	1,015
Accounts payable	212	405	338	511	629
Other current liabilities	463	693	730	730	730
Total current liabilities	1,552	2,060	2,070	2,317	2,374
Long-term debt	502	379	434	489	544
Convertible debt	0	0	70	140	210
Other LT liabilities	22	18	103	229	229
Total liabilities	2,076	2,457	2,678	3,174	3,356
Minority interest	10	4	5	6	7
Preferred stock	0	0	0	0	0
Common stock	18	20	20	20	20
Retained earnings	-23	-76	-125	-39	84
Proposed dividends	0	0	0	0	0
Other equity and reserves	718	729	729	746	746
Total shareholders' equity	714	673	624	727	850
Total equity & liabilities	2,800	3,134	3,307	3,906	4,213
Liquidity (x)					
Current ratio	0.70	0.65	0.87	0.91	0.90
Interest cover	-5.6	-1.4	2.2	3.1	3.3
Leverage					
Net debt/EBITDA (x)	–	–	5.12	4.46	3.98
Net debt/equity (%)	154.1	142.4	174.0	172.1	152.5
Per share					
Reported EPS (KRW)	-11,279	-813	-1,273	2,225	3,066
Norm EPS (KRW)	-11,279	-813	-1,273	2,225	3,066
FD norm EPS (KRW)	-10,427	-810	-1,218	2,225	3,066
BVPS (KRW)	21,296	17,505	16,232	18,079	21,145
DPS (KRW)	0	0	0	0	0
Activity (days)					
Days receivable	59.0	44.7	49.1	40.0	45.2
Days inventory	133.8	95.9	107.4	83.7	87.7
Days payable	31.8	50.6	58.1	41.5	51.2
Cash cycle	161.0	89.9	98.4	82.1	81.7

Source: Company data, Nomura estimates

Company profile

Established in July 2000 as a display component manufacturer (TFT-LCD BLU), L&F began cathode materials business in 2005. Currently, cathode materials represent 100% of its revenue, with focus on high nickel NCM/NCMA products.

Valuation Methodology

Our TP of KRW200,000 is based on discounted cashflow valuation, where we assume: 1) cathode capacity of 220k/410k tpa in 2026F/35F (2025: 190k tpa); 2) cathode shipments increasing 16% p.a. and ASP decline of 3% p.a. in 2026-35F; 3) average EBIT margin of 5.3% for 2026-35F; and 4) WACC of 5.8%

Risks that may impede the achievement of the target price

Downside risks: contract cancellation with battery or OEM customers.

ESG

L&F had set up ESG vision of "We INNOVATE materials for green energy', indicating eight strategic directions of Improving resource efficiency, Net zero transition, New ideas towards zero pollution, Outstanding product quality, Value of mutual growth, Accountability for employees, Transparent governance, and Enhance compliance. Along with these, the company aims to achieve RE 100 by 2030 and carbon neutrality (Net-Zero) by 2050.

Appendix A-1

This report has been produced by Nomura Financial Investment (Korea) Co., Ltd. (NFIK), Korea.
See Disclaimers for Nomura Group entity details.

Analyst Certification

Each research analyst identified herein certifies that all of the views expressed in this report by such analyst accurately reflect his or her personal views about the subject securities and issuers. In addition, each research analyst identified in this report hereby certifies that no part of his or her compensation was, is, or will be, directly or indirectly related to the specific recommendations or views that he or she has expressed in this research report, nor is it tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Subject issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Gotion High-Tech	002074 CH	CNY 29.21	24-Jun-2026	Neutral	N/A	
Yunnan Energy New Material	002812 CH	CNY 69.44	24-Jun-2026	Neutral	N/A	
POSCO Future M	003670 KS	KRW 178,100	24-Jun-2026	Neutral	N/A	
LG Chem	051910 KS	KRW 297,500	24-Jun-2026	Buy	N/A	
SK Innovation	096770 KS	KRW 93,700	23-Jun-2026	Neutral	N/A	
Jiangxi Ganfeng Lithium	1772 HK	HKD 56.05	24-Jun-2026	Neutral	N/A	
EcoproBM	247540 KS	KRW 152,500	24-Jun-2026	Buy	N/A	
Wuxi Lead Intelligent Equipment	300450 CH	CNY 45.28	24-Jun-2026	Buy	N/A	
LG Energy Solution	373220 KS	KRW 365,500	24-Jun-2026	Buy	N/A	
Putailai	603659 CH	CNY 29.07	24-Jun-2026	Neutral	N/A	
Panasonic Holdings	6752 JP	JPY 4,230	23-Jun-2026	Neutral	N/A	A4,A5,A6,A7,A11,A13
Tianqi Lithium	9696 HK	HKD 43.32	24-Jun-2026	Neutral	N/A	A11

A4 The Nomura Group has had an investment banking services client relationship with the subject company during the past 12 months.

A5 The Nomura Group has received compensation for investment banking services from the subject company in the past 12 months.

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

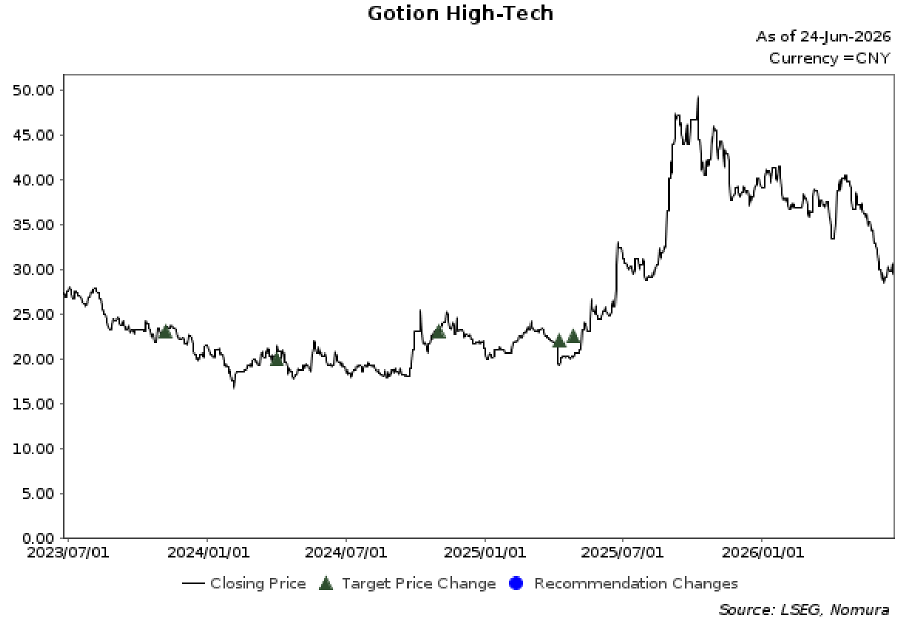
A7 The Nomura Group has managed or co-managed a public or private offering of the subject company's securities in the past 12 months.

A11 The Nomura Group beneficially owns 1% or more of a class of common equity securities of the subject company.

A13 The Nomura Group has a significant financial interest (non-equity) in the issuer.

Gotion High-Tech (002074 CH) **CNY 29.21 (24-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



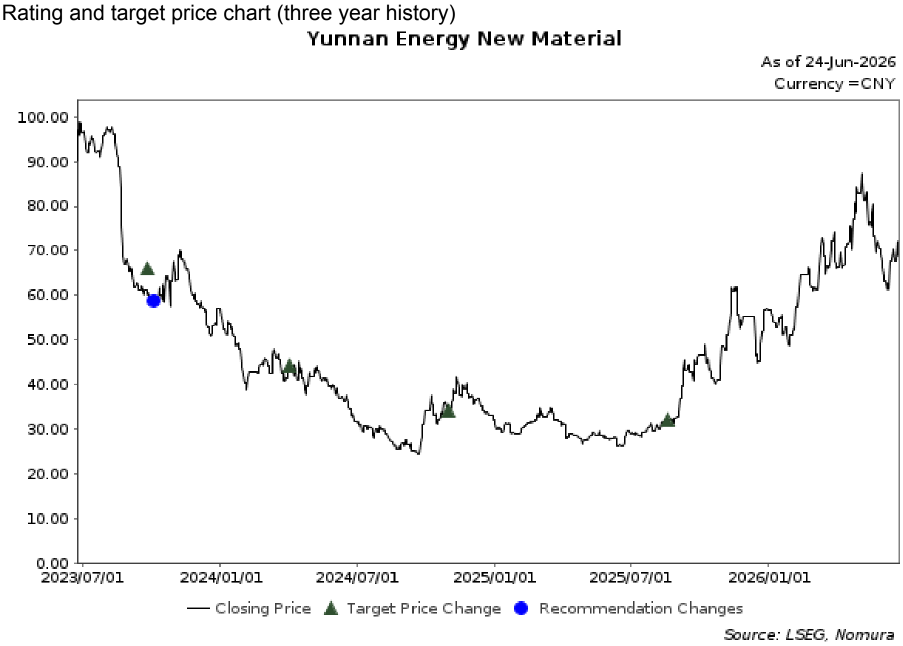
Date	Rating	Target price	Closing price
28-Apr-25		22.50	20.11
09-Apr-25		22.00	19.28
31-Oct-24		23.00	22.77
02-Apr-24		20.00	21.48
06-Nov-23		23.00	23.83

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY22.50 is based on 19x 2026F EPS of CNY1.18, or 0.6x 2026F PEG, in line with industry average. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: (1) EV battery oversupply due to aggressive capacity expansion; (2) intense price competition from domestic and local battery makers; and (3) lower-than-expected EV battery demand from the new US contract. Upside risks include: (1) faster-than-expected capacity expansion in US market; and (2) better-than-expected battery prices and margins.

Yunnan Energy New Material (002812 CH) **CNY 69.44 (24-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



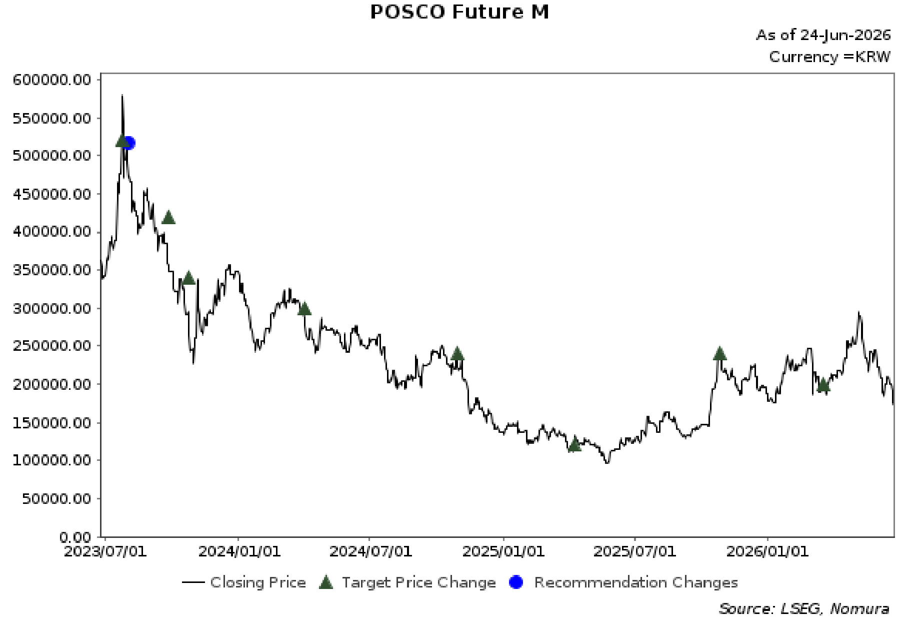
Date	Rating	Target price	Closing price
19-Aug-25		32.00	31.99
31-Oct-24		34.00	35.60
02-Apr-24		44.00	43.74
26-Sep-23	Neutral		60.20
26-Sep-23		66.00	60.20

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY32.00 is based on 32x 2026F EPS of CNY0.99, equivalent to 0.5x SD below the historical mean. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Upside risks include more favourable separator prices and faster global expansion, and downside risks include deeper-than-expected price deterioration and unfavorable policies for overseas expansion.

POSCO Future M (003670 KS) **KRW 178,100 (24-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



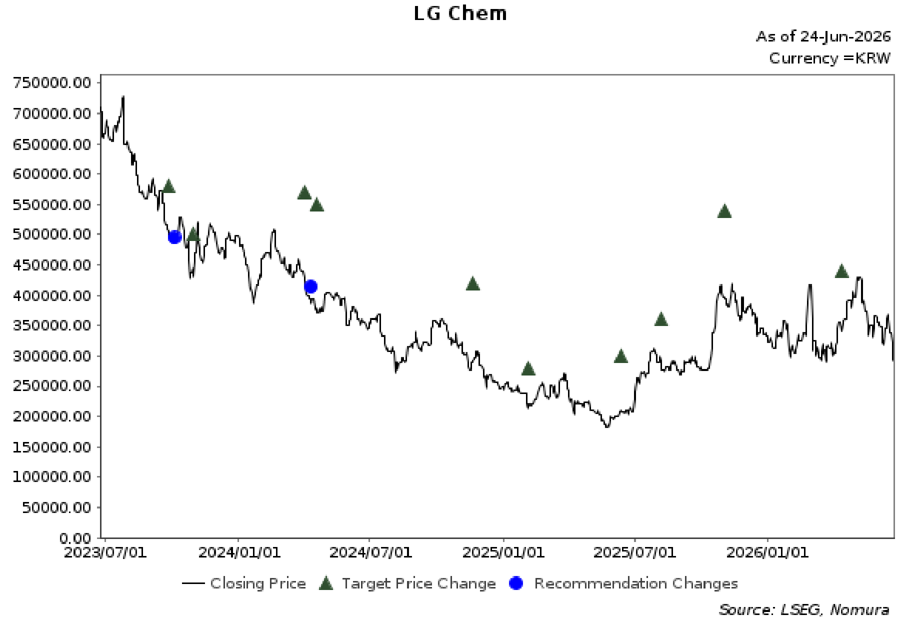
Date	Rating	Target price	Closing price
19-Mar-26		200,000.00	198,000.00
27-Oct-25		240,000.00	245,500.00
09-Apr-25		120,000.00	117,772.00
30-Oct-24		240,000.00	221,490.00
02-Apr-24		300,000.00	278,195.00
24-Oct-23		340,000.00	295,643.00
26-Sep-23		420,000.00	356,710.00
24-Jul-23	Neutral		525,371.00
24-Jul-23		520,000.00	525,371.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of KRW200,000 is based on DCF methodology. EV valuation currently stands at KRW20.7tn, based on our cathode/anode capacity estimates of 620k/180k tpa for 2035F, EBIT margin of 5.1% (average of 2025-2035F) and a WACC of 6.1%. Our benchmark index is KOSPI 200.
Risks that may impede the achievement of the target price Downside risk — weak 1H26 earnings, lack of meaningful cathode contract win; upside – further order win from global EV OEMs to supply anode or LFP cathode.

LG Chem (051910 KS) **KRW 297,500 (24-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



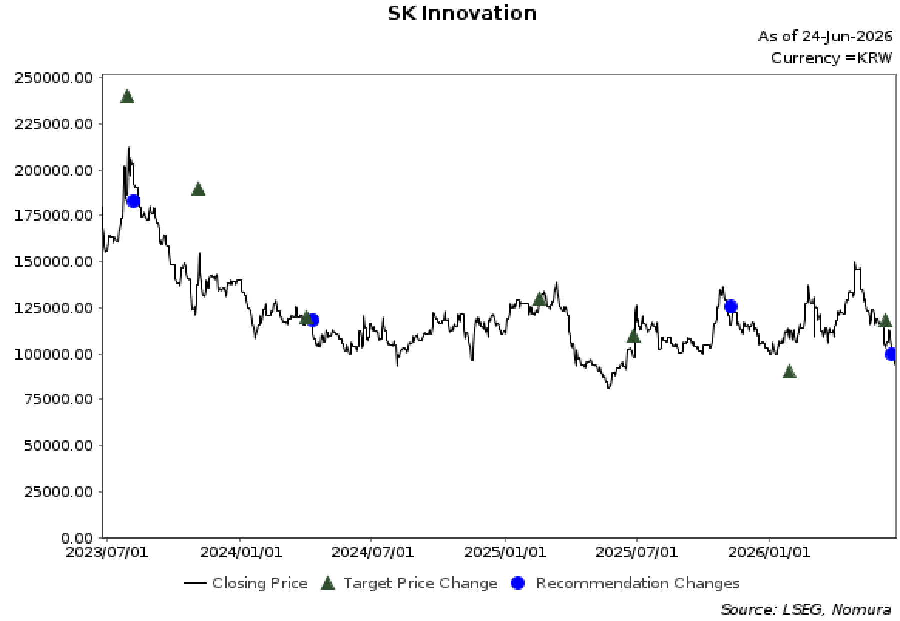
Date	Rating	Target price	Closing price
13-Apr-26		440,000.00	340,000.00
03-Nov-25		540,000.00	393,000.00
07-Aug-25		360,000.00	292,500.00
12-Jun-25		300,000.00	210,500.00
04-Feb-25		280,000.00	213,000.00
20-Nov-24		420,000.00	291,500.00
18-Apr-24		550,000.00	378,500.00
02-Apr-24	Buy		424,000.00
02-Apr-24		570,000.00	424,000.00
30-Oct-23		500,000.00	445,000.00
26-Sep-23	Neutral		505,000.00
26-Sep-23		580,000.00	505,000.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based target price of KRW440,000 is based on: 1) chemicals business target enterprise value (EV) of KRW2.9tn; 2) battery valuation of KRW46.9tn, applying 40% discount to LGES market cap (79.4% stake); 3) advanced materials KRW5.4tn; 4) agro chem/pharma KRW0.9tn. Our benchmark index is KOSPI 200.
Risks that may impede the achievement of the target price Downside risks: further chemical margin weakness

SK Innovation (096770 KS) **KRW 93,700 (23-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
11-Jun-26	Neutral		103,200.00
11-Jun-26		118,000.00	103,200.00
28-Jan-26		90,000.00	108,200.00
31-Oct-25	Reduce		128,900.00
27-Jun-25		110,000.00	97,800.00
17-Feb-25		130,000.00	128,500.00
02-Apr-24	Neutral		121,800.00
02-Apr-24		120,000.00	121,800.00
05-Nov-23		190,000.00	137,100.00
30-Jul-23	Buy		186,459.00
30-Jul-23		240,000.00	186,459.00

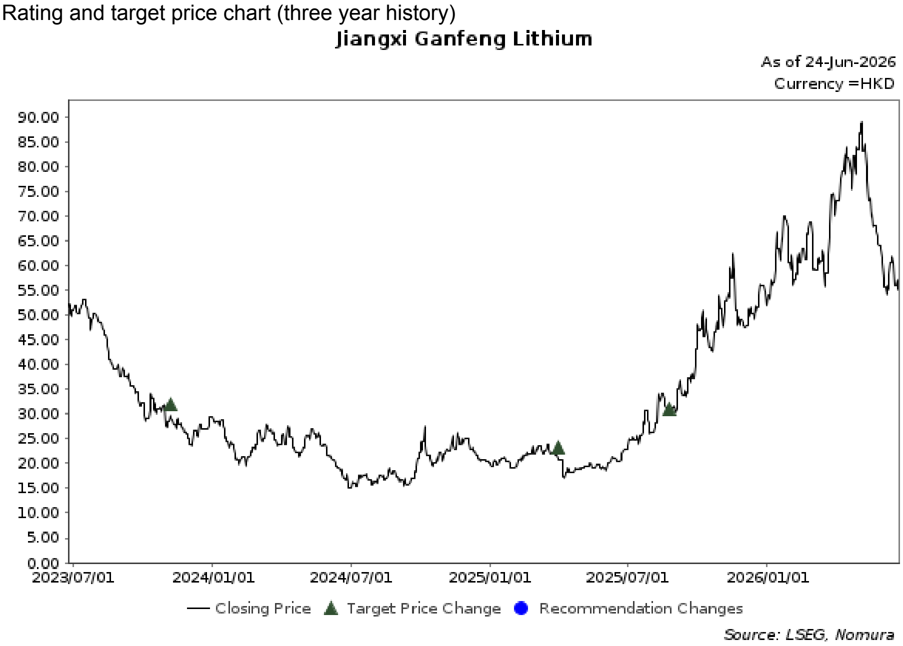
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based target price of KRW118,000 is based on:(1) the EV battery business at KRW11.5tn; (2) refining, chemicals, and lubricants at KRW16.9tn; and (3) the E&P business at KRW2.8tn and the E&S business at KRW10.1tn. Our benchmark index is KOSPI200.

Risks that may impede the achievement of the target price Upside risks: prolonged war sustaining elevated refining margins; Downside risks: (1) potential earnings decline from 3Q26 if Strait of Hormuz reopens and closed refining capacities come back on stream (2) losses extending from the battery business. Other risks include the complexity of SKI's business structure.

Jiangxi Ganfeng Lithium (1772 HK) **HKD 56.05 (24-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
25-Aug-25		31.00	30.98
01-Apr-25		23.40	20.70
06-Nov-23		32.00	29.85

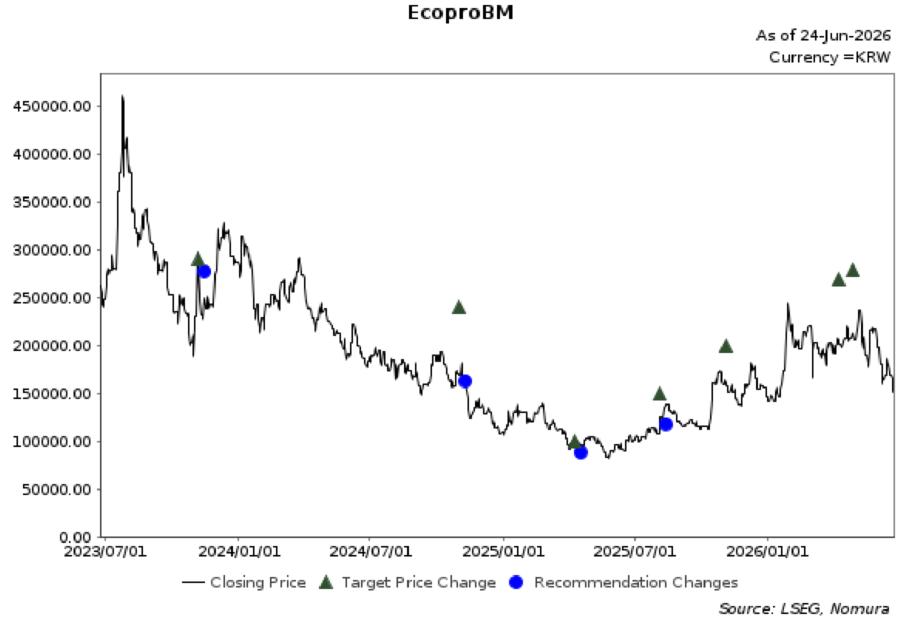
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD31.00 is based on 1.3x 2026F BVPS of CNY21.8, which is 0.5x SD below historical average. The benchmark index is Hang Seng Index

Risks that may impede the achievement of the target price Downside risks to our investment thesis include: 1) faster-than-expected decline in prices of refined lithium products or slower-than-expected decline in prices of spodumene concentrates, which may pose more pressures on revenue growth and gross margins of the company; 2) slower-than-expected growth in lithium demands from EV and ESS battery applications; and 3) delayed construction of new projects or lower-than-expected capacity utilization rates. Upside risks to our investment thesis include: 1) stronger-than-expected prices for refined lithium products; and 2) faster-than-expected commissioning of new projects to support sales volume growth.

EcoproBM (247540 KS) **KRW 152,500 (24-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



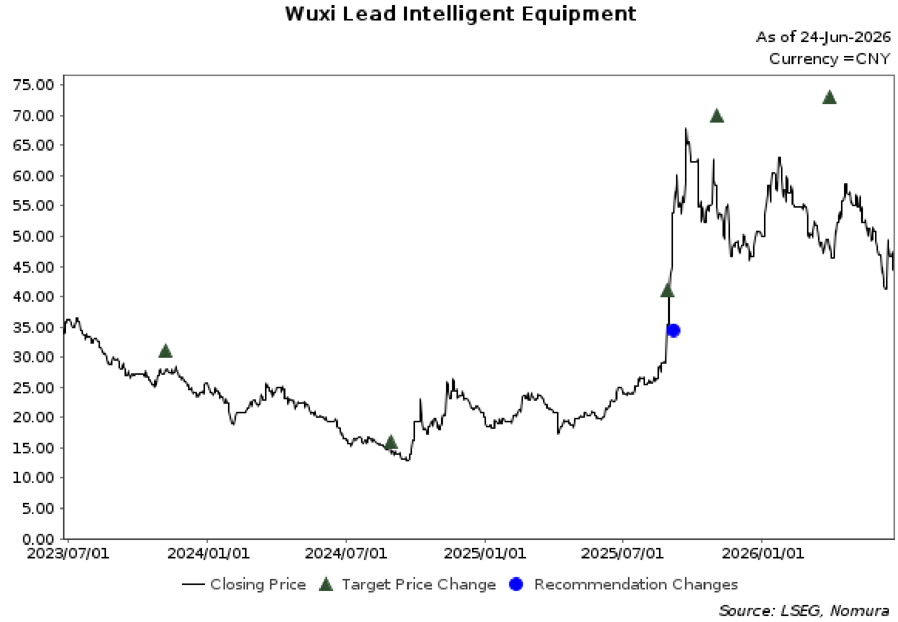
Date	Rating	Target price	Closing price
29-Apr-26		280,000.00	212,500.00
09-Apr-26		270,000.00	206,000.00
04-Nov-25		200,000.00	161,800.00
05-Aug-25	Buy		124,500.00
05-Aug-25		150,000.00	124,500.00
09-Apr-25	Neutral		94,700.00
09-Apr-25		100,000.00	94,700.00
01-Nov-24	Buy		169,700.00
01-Nov-24		240,000.00	169,700.00
07-Nov-23	Neutral		284,500.00
07-Nov-23		290,000.00	284,500.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of KRW280,000 is based on DCF method where we assume cathode valuation (EV) at KRW29.2tn, EBIT margin of 6.1% (average 2026F-35F) and WACC of 6.1%. Our benchmark index is KOSPI 200.
Risks that may impede the achievement of the target price Downside risks: the company's strategic focus/priority of high nickel and solid state batteries may come at the expense of capturing LFP demand.

Wuxi Lead Intelligent Equipment (300450 CH) **CNY 45.28 (24-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



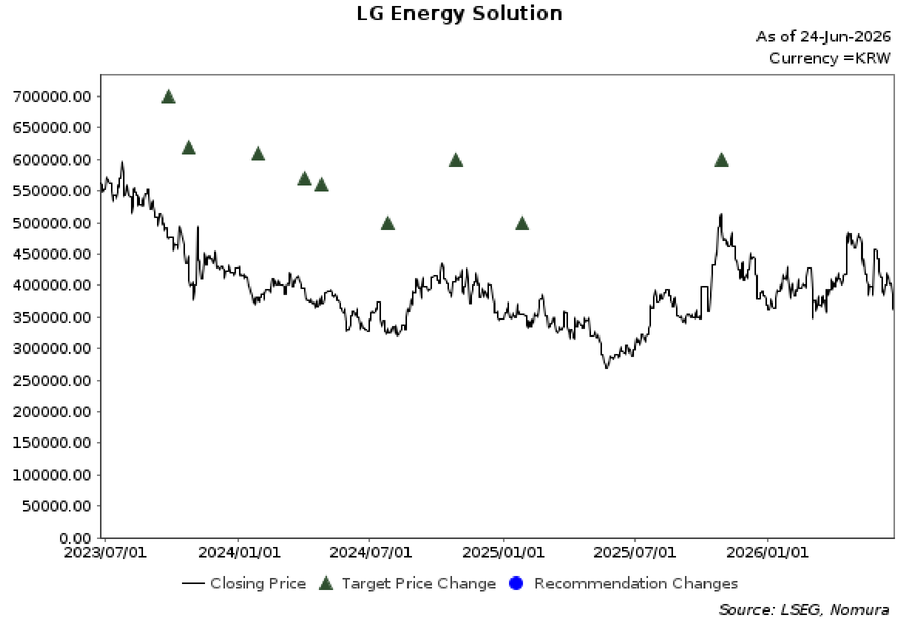
Date	Rating	Target price	Closing price
01-Apr-26		73.00	48.40
03-Nov-25		70.00	54.80
29-Aug-25	Buy		35.51
29-Aug-25		41.00	35.51
29-Aug-24		16.00	14.08
06-Nov-23		31.00	27.90

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We apply P/E methodology to value Wuxi Lead Intelligent. Our TP of CNY73.00 is based on 45x 2026F EPS of CNY1.62, equivalent to 0.3x SD above the company's historical forward P/E. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected orders from domestic and overseas battery cell makers; 2) higher-than-expected bad debt provisions for the solar sector; and 3) lower-than-expected commercialization of ASSBs.

LG Energy Solution (373220 KS) **KRW 365,500 (24-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



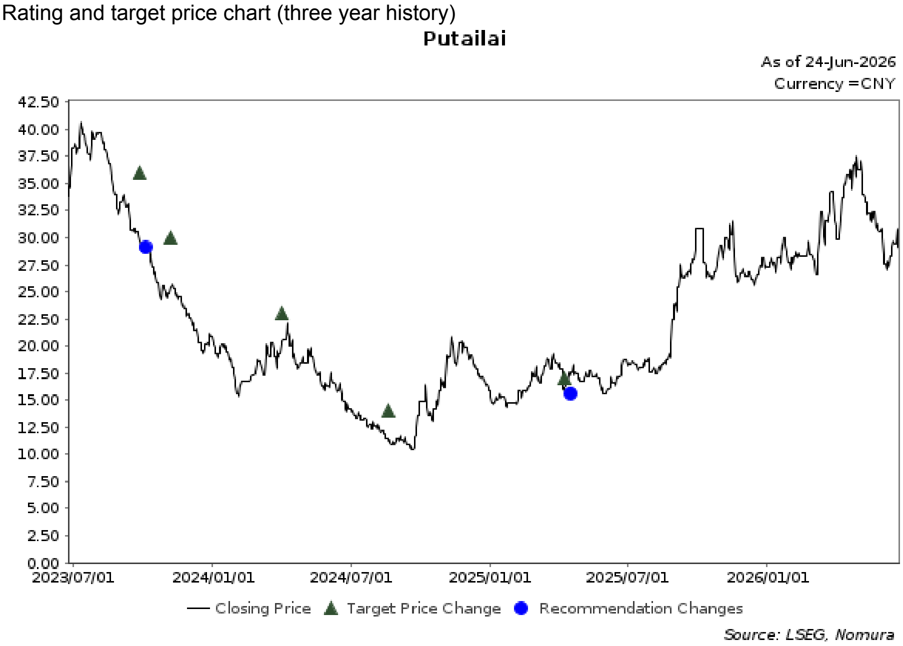
Date	Rating	Target price	Closing price
30-Oct-25		600,000.00	486,500.00
27-Jan-25		500,000.00	353,500.00
28-Oct-24		600,000.00	416,500.00
25-Jul-24		500,000.00	332,500.00
25-Apr-24		560,000.00	372,500.00
02-Apr-24		570,000.00	393,000.00
28-Jan-24		610,000.00	381,000.00
25-Oct-23		620,000.00	409,500.00
26-Sep-23		700,000.00	475,500.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW600,000 is based on a DCF model, assuming: 1) cumulative IRA tax credit (AMPC) of KRW11.3tn over 2026-30F ; 2) an ASP decline of 4% p.a. over 2026-35F; 3) a consolidated shipment increase of 16% p.a. over 2026-35F; 4) an increase in EV/ESS/small-size battery capacity to 266GWh/271GWh/130GWh by 2035F (2026F: 150GWh/60GWh /90GWh).
Risks that may impede the achievement of the target price Downside risk stems from unexpected costs associated with asset write-downs and weaker than expected demand.

Putailai (603659 CH) **CNY 29.07 (24-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



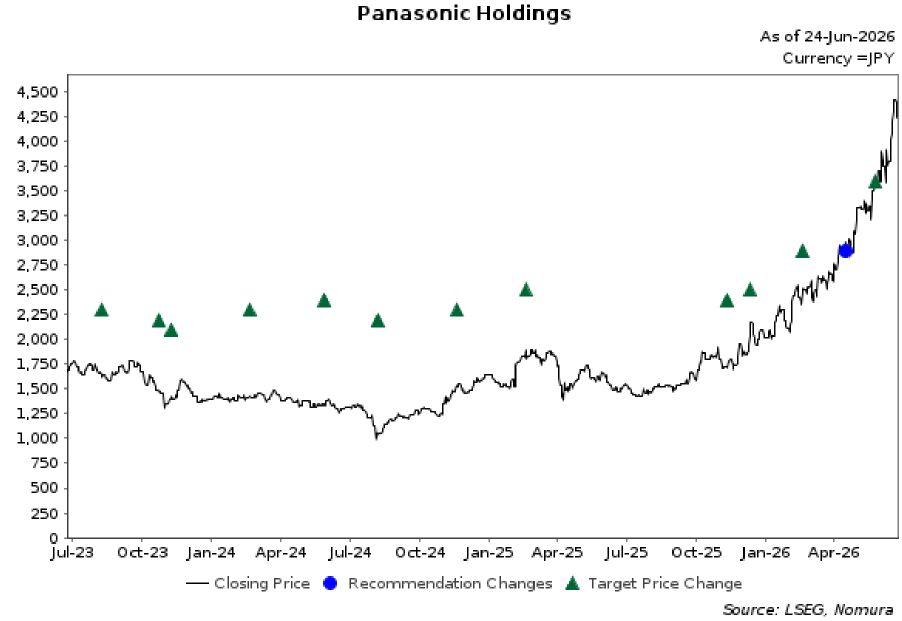
Date	Rating	Target price	Closing price
09-Apr-25	Neutral		16.20
09-Apr-25		17.00	16.20
20-Aug-24		14.00	11.22
02-Apr-24		23.00	20.50
06-Nov-23		30.00	25.50
26-Sep-23	Buy		29.67
26-Sep-23		36.00	29.67

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY17.00 is based on 12x 2026F EPS of CNY1.40, equivalent to 1.5x SD below historical average P/E. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: (1) faster-than-expected decline in product ASP due to more intensified market competition; (2) slower-than-expected progress of vertical integration; and (3) slower-than-expected overseas expansion. Upside risks include: (1) higher-than-expected product ASP; and (2) faster-than-expected progress of vertical integration.

Panasonic Holdings (6752 JP) **JPY 4,230 (23-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



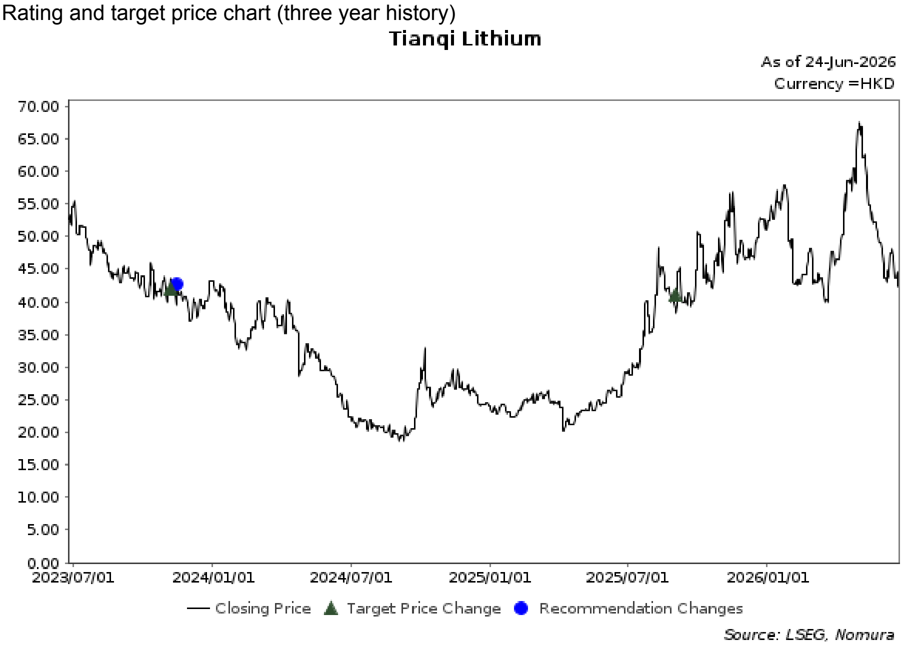
Date	Rating	Target price	Closing price
26-May-26		3,600	3,607
08-Apr-26	Neutral		2,955.5
18-Feb-26		2,900	2,478.0
11-Dec-25		2,500	2,034.5
11-Nov-25		2,400	1,706.5
18-Feb-25		2,500	1,900.5
20-Nov-24		2,300	1,524.5
07-Aug-24		2,200	1,054.0
29-May-24		2,400	1,341.5
20-Feb-24		2,300	1,424.5
09-Nov-23		2,100	1,430.0
24-Oct-23		2,200	1,485.0
09-Aug-23		2,300	1,622.0

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We obtain our target price of ¥3,600 by multiplying our 28/3 EPS forecast (excluding IRA effects) of ¥162 by a P/E of around 22x. We apply a premium of around 20% to the Russell/Nomura Large Cap (ex financials) average P/E as we forecast EPS CAGR (excluding IRA effects) of around 10% over the medium term over the 28/3 baseline on growth in generative AI-related businesses.
Risks that may impede the achievement of the target price Factors that could cause the share price to move substantially below our target price include a deterioration in margins from changes in forex rates and raw material prices, fiercer competition in batteries for data centers and EVs, slow progress with expanding operations in solutions-based businesses, and sluggish demand for devices or home appliances. Conversely, the share price could substantially surpass our target price if the reverse of these were to occur.

Tianqi Lithium (9696 HK) **HKD 43.32 (24-Jun-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
02-Sep-25		41.00	38.86
06-Nov-23	Neutral		43.60
06-Nov-23		42.00	43.60

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD41.00 is based on 1.4x 2026F P/B. The benchmark index is Hang Seng Index.
Risks that may impede the achievement of the target price Downside risks include: 1) Slower-than-expected progress of capacity construction; 2) Lower-than-expected prices of lithium carbonate/hydroxide and spodumene concentrates; and 3) Weaker-than-expected demands in downstream sectors, such as electric vehicles (EV) and energy storage systems (ESS). Upside risks include: 1) Higher-than-expected prices of lithium carbonate/hydroxide and spodumene concentrates; and 2) Stronger-than-expected downstream demands.

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